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CHIEF INVESTMENT OFFICE

Capital Market Outlook

June 29, 2026

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Macro Strategy—*Latin America's Market Resurgence:* Investor attention in international markets has been largely focused on the dominance of the Asia-Pacific in 2026. But Latin America has also staged a recent resurgence, breaking above its 2008 financial crisis peak for the first time over the past six months. The Latin American market outpaced the rest of the world in 2025, and, so far this year, the region is ahead of the S&P 500 Index and all but the highest-flying Artificial Intelligence (AI)-linked markets in Asia. Near-term challenges could interrupt the recent advance, but we nonetheless see a range of longer-term support for the region.

Market View—*Second-Half Scenarios: Revisiting the Base, Bull and Bear Cases:* As we enter the second half of 2026, our market outlook has turned modestly more constructive. The base case remains our anchor, underpinned by resilient economic fundamentals, healthy consumer spending, and continued double-digit earnings growth. Meanwhile, the bull case has gained traction, supported by improving earnings revisions and easing geopolitical tensions. At the same time, the bear case looks less severe than it did earlier in the year. While the potential for higher inflation, rising rates or a reversal in oil prices remain key factors to watch, several of the most disruptive market risks seem to have moved off the table for now. Overall, the base and bull cases now account for roughly 80% of our 2026 outlook, reinforcing our view that investors should remain diversified, stay aligned with long-term goals, and use periods of volatility as potential buying opportunities.

Thought of the Week—*From Rate Cuts to Rate Hikes:* Markets have shifted from pricing Federal Reserve (Fed) interest rate cuts to renewed tightening risk amid firmer inflation and more hawkish Fed signaling. While this shift underscores evolving macro conditions, the Fed remains data dependent and market pricing may continue to adjust as new information emerges. For investors, history suggests that while Equities can be volatile after the Fed hikes rates, returns have generally remained positive over the full hiking cycle.

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Portfolio Considerations

Structural themes like reindustrialization, reshoring, robotics and biotech are driving upside to earnings and margins, reinforcing an Equity overweight.

We maintain an overweight to Equities with a preference for U.S. Equities relative to the rest of the world and still favor a significant allocation to bonds in a well-diversified portfolio.

We would leverage market weaknesses and excessive strength to rebalance tactical exposures in the coming months.

MACRO STRATEGY

Latin America's Market Resurgence

Ehiwario Efeyini, *Director and Senior Investment Strategist*

Investor attention in international markets has been largely focused on the dominance of the Asia-Pacific in 2026. Equity returns in Asia have led the global market this year, and its regional weighting in the MSCI Emerging Markets (EM) Index has risen to close to 85%— almost five percentage points higher than at the start of the year. But Asian Equities have not been the only strong performers in global markets over recent quarters. While it remains a relatively small share of international market capitalization, Latin America has also staged a recent resurgence, breaking above its 2008 financial crisis peak for the first time over the past six months. The Latin American market (measured by MSCI EM Latin America Index) outpaced the rest of the world in 2025 as International Equities rebounded. And so far this year, the region is ahead of the S&P 500 and all but the highest-flying AI-linked markets in Asia.

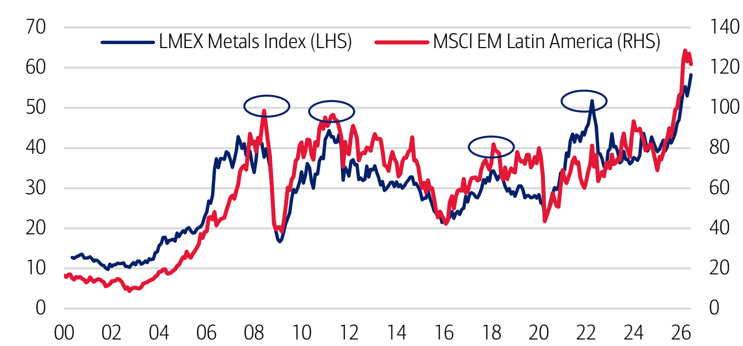
Equity returns in Latin America remain highly correlated with global commodity prices, particularly in metals and energy. And the surge in both precious and industrials metals prices over the past year has coincided with a period of outperformance for the region—just as at past peaks in 2008, 2011, 2018 and 2022 (Exhibits 1A and 1B).

Investment Implications

Latin America has widely gone unrecognized as one of the leading global equity markets over recent quarters. And though nearer-term challenges from lower energy prices and potential shifts in external trade conditions and external monetary policy could interrupt the recent advance, we nonetheless see shifts in local policy direction, Brazil's potential as a leading producer of rare earths and exposure to critical inputs into the growth in clean energy and AI investment as longer-term regional supports.

Exhibit 1: Latin American Markets Have Peaked With Commodity Prices Over Recent Cycles.

A) Metals Prices versus Latin America Equities.



B) Energy Prices Versus Latin America Equities.

Exhibit 1A) Source: Source: Bloomberg. Data as of May 2026. Exhibit 1B) Source: Bloomberg. Data as of May 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

In the near term, oil and gas prices may continue to weaken on further easing of supply constraints in the Middle East. And the potential for the Fed to join the European Central Bank and the Bank of Japan in raising interest rates could also put cyclical price pressure on the wider commodity complex. But a number of markets across Latin America should nonetheless be exposed to longer-term growth expected in demand for key metals and minerals used in data centers as the AI infrastructure investment boom continues and in clean energy equipment as countries look to strengthen their energy security in the wake of the Iran conflict. Mexico and Brazil for example, the largest markets in the region, are among the leading global producers of silver and graphite, respectively, while Chile dominates global production and reserves in copper and lithium, accounting for 20%-plus of the total output for both critical minerals (Exhibit 2).

Furthermore, Brazil in particular is emerging as a more viable global supplier of the 17 rare earth elements (REEs) used across a range of applications including electric vehicles, wind turbines, robotics, defense hardware, medical equipment and industrial magnets. Though it is currently still dwarfed by China in REE production, Brazil's reserves are second only to China's, accounting for around 20% of the global total. And it is widely viewed as a potential future alternative to China in supplying Western markets such as the U.S. and Europe—both of which are increasing their level of investment into Brazil's REE industry.

Exhibit 2: Latin America Remains A Key Provider Of Critical Minerals Used in AI and Clean Energy Infrastructure.

Latin America country exposures to critical minerals

Metal / Mineral	AI Data Center / Clean Energy Applications	Country production (global share, rank)	Country reserves (global share, rank)
Copper	Wiring for solar, wind turbines, batteries, cooling systems	Chile (23%, 1), Peru (11%, 3), Mexico (3%, 9)	Chile (19%, 1), Peru (10%, 2), Mexico (5%, 6)
Bauxite	Server racks, solar panel frames, wind turbines, cooling systems	Brazil (7%, 4)	Brazil (9%, 5)
Lithium	Battery electrodes for electronics, electric vehicles, grid storage	Chile (20%, 2), Argentina (8%, 5), Brazil (4%, 6)	Chile (31%, 1), Argentina (13%, 3), Brazil (1%, 8)
Nickel	Battery cathodes for electronics, electric vehicles, grid storage	Brazil (2%, 8)	Brazil (12%, 3)
Graphite	Battery anodes for electronics, electric vehicles, grid storage	Brazil (4%, 4)	Brazil (26%, 2), Mexico (1%, 10)
Manganese	Battery cathodes for electronics, electric vehicles, grid storage	Brazil (3%, 7)	Brazil (16%, 4)
Gold	Electrical connectors, solar cells	Mexico (4%, 7), Peru (3%, 12), Brazil (2%, 13), Colombia (2%, 15)	Peru (4%, 8), Brazil, (4%, 9), Mexico (2%, 12), Colombia (1%, 15)
Silver	Solar photovoltaics, electrical connectors, switches	Mexico (25%, 1), Peru (12%, 3), Bolivia (5%, 5), Chile (5%, 7), Argentina (3%, 11)	Peru (22%, 1), Mexico (6%, 6), Chile (4%, 7), Bolivia (3%, 9), Argentina (1%, 11)

Source: US Geological Survey, Our World in Data. Data as of 2024.

Recent shifts in Latin America's policy direction have also been welcomed by investors. Starting with Argentina in 2023, Chile in 2025 and most recently Colombia and Peru earlier this month, incoming governments have pledged or moved to enact fiscal consolidation, encourage free trade and deregulation, increase privatizations of state-owned enterprises and boost economic growth rates—a partial reversal of the so-called Pink Tide that saw less market-friendly administrations assume leadership in a number of regional economies in the late 2010s and early 2020s. Argentina for example has been one of the top-performing markets in the region over recent years, receiving a string of credit rating upgrades from S&P, Moody's and Fitch in 2024, 2025 and 2026. A major exception to this trend, however, has been Latin America's largest economy, Brazil, where electoral victory for the incumbent frontrunner in October's presidential election would likely mean higher public spending, wider fiscal deficits and a tougher stance on foreign investment into local resource sectors.

External trade and monetary policy are also likely to play an important role in the outlook for key markets in Latin America. For Mexico, the region's second-largest economy, a joint review of the U.S.-Mexico-Canada Agreement set to begin later this week on July 1 could have major implications for trade and investment in Mexico's manufacturing sectors. The two main potential policy risks for Mexico are likely to be 1) higher thresholds for rules of origin that favor U.S. employment, and 2) more stringent rules on direct investment from China into the Mexican auto industry to limit its presence in North America for both economic and national security purposes.

Meanwhile a shift toward tighter U.S. monetary policy in the second half of the year could present another hurdle for the region in the nearer term. Current account balances have improved for most countries in Latin America over the past two years. But within the MSCI EM Latin America Index all but Peru remains in deficit, while Brazil and Colombia have both deteriorated to more than 2% of gross domestic product (GDP)—among the highest within EMs. This potentially leaves the region more vulnerable to higher U.S. rates than surplus market in Asia. But the general improvement in balance of payments positions and the likelihood of only modest adjustments to U.S. monetary policy as opposed to a sustained tightening cycle should limit the impact. Furthermore, against a backdrop of rising global rates and multidecade lows in S&P 500 dividend yields, Latin American yields are among the highest globally, standing at close to 6% in Brazil and Colombia.

Latin America has widely gone unrecognized as one of the leading global equity markets over recent quarters. And though nearer-term challenges from lower energy prices, potential shifts in external trade conditions and potential changes to external monetary policy could interrupt the recent advance, we nonetheless see shifts in local policy direction, and Brazil's potential as a leading producer of rare earths and exposure to critical inputs into the growth in clean energy and AI investment as longer-term regional supports.

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MARKET VIEW

Second-Half Scenarios: Revisiting the Base, Bull and Bear Cases

Marci McGregor, ***Managing Director and Head of CIO Portfolio Strategy***

The first half of the year is quickly fading into the rearview mirror. As the next six months come into focus, we refresh our base, bull and bear scenarios for the remainder of 2026. The verdict: The base case holds steady, the bull case is picking up momentum, and the bear case looks less likely than it did earlier this year.

Base case: Unchanged at 55%. The base case remains the anchor (Exhibit 3). Despite a steady drumbeat of headline risk, fundamentals remain sound, and the strong growth outlook is intact. The labor market remains far from recessionary territory, with hiring surging in May, and the unemployment rate holding steady at 4.3%. Consumers are still in good shape with Bank of America Institute data showing credit and debit card spending rising 5.1% year-over-year (YoY) in May, the fastest pace in nearly four years. The recent oil and gas spikes seem unlikely to translate into an economywide resurgence in inflation, although sticky price pressures and healthy job growth could still leave room for limited Fed hikes later in the year.

For markets, the picture is similarly constructive. S&P 500 earnings-per-share are expected to grow at a double-digit YoY pace, while corporate margins remain resilient. A multiyear technology-driven capital expenditures (capex) cycle is well underway, and continued AI adoption should provide a meaningful productivity tailwind over time. Against this backdrop, Equity market participation could continue to broaden, with EMs and Small- and Mid-caps improving further. In our view, this remains the most likely path for the remainder of 2026, with a 55% possibility outcome.

Bull case: Increased to 25%. Upside risks to our base case have emerged with the bull scenario gathering momentum. We raise the possibility outcome to 25% from 15%, with stronger earnings growth doing much of the heavy lifting. Estimates for both 2026 and 2027 have moved meaningfully higher in recent weeks, with revisions outpacing historical averages. Easing geopolitical tensions have also meaningfully improved the outlook. Stronger profits, improving productivity and broader participation below the index level could help extend the cycle in the bull case even with valuations elevated.

In this upside scenario, inflation would continue to cool as oil and gas prices ease, allowing the Fed to remain on an extended pause or deliver, at most, one potential hike. A steeper yield curve could emerge alongside stronger growth expectations and a resilient macro backdrop. The AI capex cycle could also keep accelerating, lifting Technology and supporting investment across data centers, power generation, grid modernization, industrial automation, aerospace and defense. Putting it all together, the combined bull case and base case scenario now accounts for 80% of our 2026 market outlook.

Bear case: Decreased to 15%. The bear case is still worth monitoring, but it looks less concerning than it did earlier in the year. We have lowered its possibility outcome to 15% from 25%, as several of the most disruptive risks to this market have eased, at least for now. Diplomatic progress toward ending the U.S/Iran war has reduced the probability of tensions boiling over into a broader conflict. The resulting decline in oil and gas prices has helped relieve one of the most immediate pressure points for inflation and consumer confidence. Other potential shocks have also failed to materialize: The largest initial public offering in history was absorbed with ease, and the Fed's leadership transition has been relatively smooth, even if the new chair's hawkish tone has raised some eyebrows.

For the bear case to reassert itself, we would likely need to see a renewed flare-up in geopolitical tensions, a reversal higher in oil, and inflation moving well above target. A key risk would be a sharp rise in rates driven by a more aggressive policy response, which could pressure Equities lower and put both earnings and valuations at risk. The growth

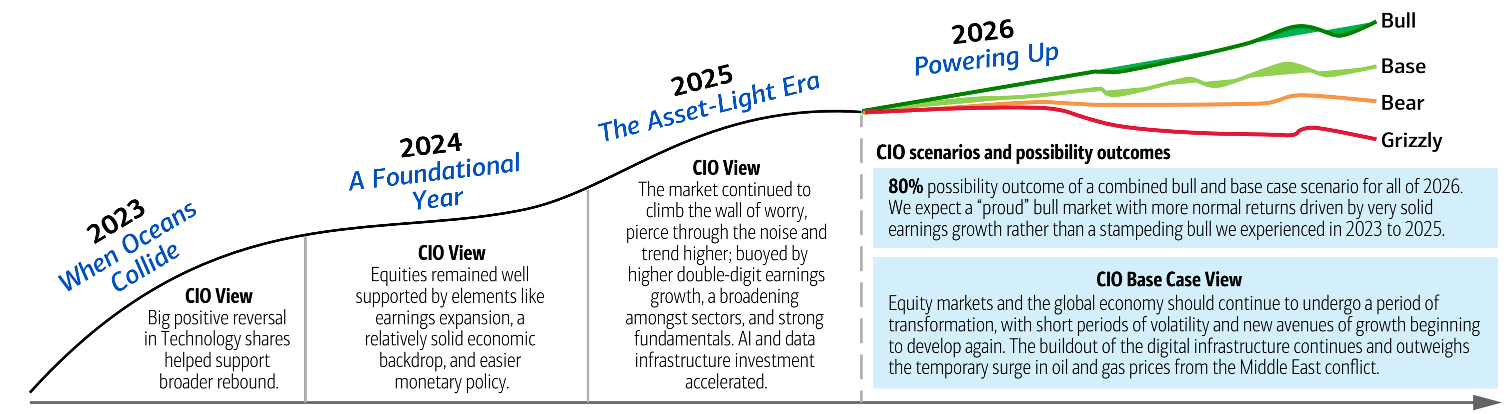
Portfolio Considerations

While risks remain, we see the potential for upside to our base-case market outlook for the remainder of 2026. From an investment perspective, we would view periods of market weakness as a potential buying opportunity for long-term investors.

outlook would likely come into question in this scenario, potentially rekindling stagflation concerns. This confluence of factors could bring technology-bubble concerns back into focus and shift market leadership toward defensives.

Grizzly case: Still unlikely at 5%. The grizzly bear scenario remains the deep- tail risk, and would require a convergence of negative earnings and geopolitical and macroeconomic outcomes that could push the S&P 500 into bear-market territory. In our view, it remains the least likely path.

Exhibit 3: A Closer Look at the Bull, Base, Bear and Grizzly Cases.



SCENARIO 1 BULL CASE (approximately 25% possibility outcome)

- Bull case raised to 25% from 15% as earning momentum surprises further.
- Geopolitical tensions ease significantly and peace accelerates.
- A new economic reexpansion builds, and growth is well above trend in 2026.
- Extended pause on rates or one hike at most with profits and economic growth well above trend
- Yield curve steepens as yields on the back-end rise as economic growth increases above trend and short rates slip.
- Long-term bull market continues as earnings rise higher than expected through 2026. Bull market in metals.
- AI capex accelerates lifting the Technology sector again.

SCENARIO 2 BASE CASE (approximately 55% possibility outcome)

- U.S. GDP maintains its momentum as fiscal bill impact is felt and as Middle East tensions ease considerably.
- One-time price increases from oil and gas surge do not materialize into an "economywide" resurgence in inflation.
- Limited hikes later in the year as job growth remains healthy and inflation sticky.
- Earnings growth for S&P 500 is double-digit percentages in 2026.
- The AI wave continues, but "leaders" and "laggards" become clearer.
- Broader participation within the Equity markets including EMs and Small/Mid capitalization shares continues.
- Financials, Utilities, Industrials, Consumer Discretionary, Basic Materials rise. Technology sectors extend their leadership.

SCENARIO 3 BEAR CASE (approximately 15% possibility outcome)

- Bear case drops to 15% from 25% as Iran conflict dissipates and oil prices fall.
- Geopolitical tensions reescalate.
- Stagflation worries build as the growth slump bites and as inflation remains well above target.
- Expectations for monetary policy are recalibrated with the potential for rate hikes rising sharply even in the face of slow growth.
- Earnings begin to decline early as a growth slump ensues and AI capex fizzles.
- Unemployment rate rises above 5% as recession risk increases.
- Defensive areas of the market outperform as technology bubble concerns materialize.
- Recession odds rise alongside midterm concerns.

SCENARIO 4 GRIZZLY CASE (approximately 5% possibility outcome)

- Trade wars develop again and stick.
- Geopolitical tensions boil over into broader conflict.
- Sharp economic hard landing, not just deterioration, unfolds.
- Fed policy requires new emergency measures and aggressive cuts.
- A sharp fall in earnings ensues as spreads widen and as AI capex deteriorates.
- Credit stress unfolds further in the lower quality credits impacting investor sentiment in the high-quality sector.
- Fixed Income significantly outperforms Equities as risk aversion rises sharply.
- U.S. dollar rallies.
- Defensive assets outperform sharply.
- S&P 500 falls into protracted bear market territory.

—— Black line represents the lifecycle of the CIO economic process and is not meant to represent any specific investment, index or performance of any kind. Source: CIO. Data as of June 29, 2026. CIO views are subject to change. **For Informational purposes only.** Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance. **Please refer to index definitions and important disclosures at the end of this presentation.**

The bottom line: We believe the second-half setup has improved. The base case still carries the most weight, but the bull case has gained credibility, and the bear case has been somewhat diffused. For investors, that argues for staying invested, staying diversified, and staying focused on long-term investment goals as the year progresses.

THOUGHT OF THE WEEK

From Rate Cuts to Rate Hikes

Kirsten Cabacungan, *Vice President and Investment Strategist*

The market narrative has flipped from how soon the Fed might cut to whether hikes are back on the table. Prior to the U.S./Iran conflict, markets had fully priced in two Fed rate cuts by year-end. Today, markets are pricing at least one Fed rate hike. BofA Global Research now anticipates three 25 basis-point (bps) hikes in September, October and December, versus prior expectations for a prolonged Fed pause and eventual cuts in 2027. What matters now is how this shift in expectations evolves as new data comes in.

This repricing reflects a combination of renewed inflation pressures and more hawkish Fed signaling. Headline personal consumption expenditures (PCE) inflation rose to a three-year high of 4.1% YoY in May, up from 2.9% pre-conflict, while core PCE, which excludes food and energy, climbed to 3.4% from 3% a few months ago—roughly 60 bps above the level a year ago. At the same time, the Fed's June Federal Open Market Committee (FOMC) meeting pointed to a firmer policy path. While rates were held steady, the Fed's median projection for the policy rate at year-end rose to 3.8% from 3.4%, with nine of 18 policymakers expecting at least one hike this year and six expecting more than one.

That said, the shift in expectations is not without nuance. The Fed continues to emphasize a data-dependent approach, particularly under new Fed Chair Kevin Warsh, who has historically expressed caution about forward guidance. The fact that these hawkish projections based on geopolitical disruptions were released essentially at the same time a U.S./Iran ceasefire agreement led to the reopening of the Strait of Hormuz underscores just how quickly conditions can change. More broadly, history suggests the Fed's policy projections have not always aligned with its realized policy path (Exhibit 4A).

For investors, the key question is what a potential return to rate hikes means for Equities. Historical outcomes have varied depending on the broader macro backdrop (Exhibit 4B). Across the last six hiking cycles, equity returns were volatile in the early stages but generally improved over time, with annualized returns positive over the full cycle in every episode.

For now, the latest forecasts suggest any renewed Fed tightening would be modest and relatively short-lived. While inflation risks have reemerged, it remains uncertain whether they will translate into a sustained reacceleration, particularly if geopolitical pressures continue to ease. We view the recent hawkish repricing as a risk to monitor rather than a structural shift to the outlook, with the more significant risk being a materially more aggressive Fed tightening response if inflation remains persistently elevated.

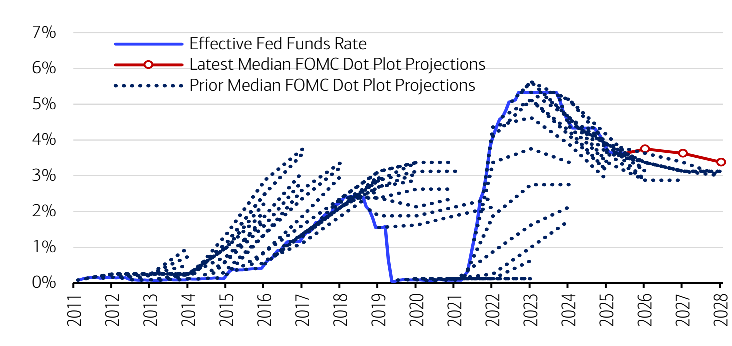
Importantly, the economy has proven resilient in a higher-rate environment in recent years, suggesting it may be able to absorb some modest Fed tightening. We therefore remain constructive on U.S. Equities, supported by strong earnings momentum and long-term thematic tailwinds.

Investment Implications

We remain constructive on the outlook and maintain an overweight to U.S. Equities. The primary risk to our investment thesis is a sharp rise in interest rates driven by a more aggressive shift in Fed policy. We therefore continue to emphasize diversification as macro conditions evolve.

Exhibit 4: Shifting Fed Expectations and Market Implications

A) Fed expectations don't always align with the realized path.



B) Equity performance has varied over hiking cycles.

Fed Funds Rate (FFR) Hike		Cycle Duration	FFR Change	S&P 500 Forward Total Return After First Fed Rate Hike			Annualized Total Return
First	Last	(Months)	(Basis Points)	+3 months	+6 months	+12 months	Over Full Hike Cycle
Mar-88	May-89	13.6	+325	5.2%	6.8%	16.6%	23.8%
Feb-94	Feb-95	11.9	+300	-3.3%	-1.0%	4.8%	3.0%
Jun-99	May-00	10.5	+175	-6.2%	7.4%	7.2%	9.1%
Jun-04	Jun-06	24.0	+425	-1.9%	7.3%	6.3%	7.6%
Dec-15	Dec-18	36.1	+225	-1.6%	1.4%	11.3%	8.7%
Mar-22	Jul-23	16.3	+525	-15.5%	-10.4%	-7.6%	5.2%
Average		18.7	+329	-3.9%	1.9%	6.4%	9.6%
Median		15.0	+313	-2.6%	4.1%	6.8%	8.2%
% Positive				16.7%	66.7%	83.3%	100.0%

*Estimate. Exhibits 4A) Sources: Federal Reserve; Bloomberg. Data as of June 25, 2026. Exhibit 4B) Change in FFR based on the lower bound of the target FFR range. Sources: Federal Reserve; Bloomberg. Data as of June 25, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

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Equities

	Total Return in USD (%)			
Equities	Current	WTD	MTD	YTD
DJIA	51,876.11	0.6	1.8	8.8
NASDAQ	25,297.62	-4.6	-6.2	9.2
S&P 500	7,354.02	-1.9	-2.9	8.1
S&P 400 Mid Cap	3,816.30	0.7	2.6	16.2
Russell 2000	3,010.08	1.0	3.2	21.9
MSCI World	4,744.35	-1.9	-2.4	7.8
MSCI EAFE	3,085.46	-1.8	-1.0	8.3
MSCI Emerging Markets	1,706.40	-4.6	-2.4	22.6

Fixed Income†

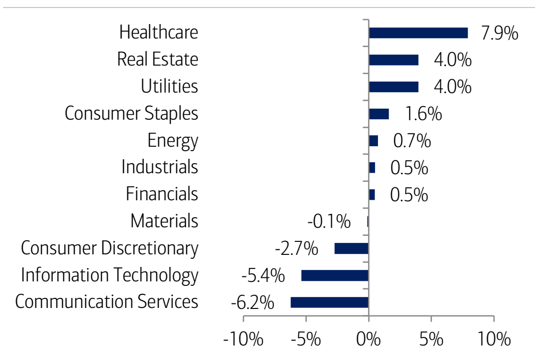
	Total Return in USD (%)			
Fixed Income	Current	WTD	MTD	YTD
Corporate & Government	4.59	0.46	0.60	0.84
Agencies	4.38	0.39	0.33	0.81
Municipals	3.60	0.15	0.80	2.15
U.S. Investment-Grade Credit	4.66	0.49	0.60	0.98
International	5.14	0.41	0.51	1.19
High Yield	7.21	-0.06	0.06	1.75
90 Day Yield	3.74	3.74	3.67	3.63
2 Year Yield	4.09	4.18	4.00	3.47
10 Year Yield	4.37	4.45	4.44	4.17
30 Year Yield	4.86	4.90	4.97	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	315.29	-3.0	-8.7	14.1
WTI Crude $/Barrel††	69.23	-9.6	-20.8	20.6
Gold Spot $/Ounce††	4088.74	-2.9	-9.9	-5.3

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.14	1.15	1.17	1.17
USD/JPY	161.74	161.38	159.27	156.71
USD/CNH	6.80	6.78	6.76	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 06/22/2026 to 06/26/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 06/26/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 6/26/2026)

Economic Forecasts	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.2	3.5
Real U.S. GDP (% q/q annualized)	1.6	2.5	2.5	2.4	2.2	2.2
CPI inflation (% y/y)	2.7	4.0	3.7	3.6	3.5	2.2
Core CPI inflation (% y/y*)	2.5	2.8	2.7	2.9	2.7	2.4
Unemployment rate (%)	4.3	4.3	4.3	4.2	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of June 26, 2026.
Sources: BofA Global Research; GWIM ISC as of June 26, 2026

Asset Class Weightings (as of 6/2/2026)

	CIO View				
Asset Class	Underweight		Neutral		Overweight
Global Equities	•	•	•	●	•
U.S. Large-cap Growth	•	•	•	●	•
U.S. Large-cap Value	•	•	•	●	•
U.S. Small-cap Growth	•	•	•	●	•
U.S. Small-cap Value	•	•	•	●	•
International Developed	•	●	•	•	•
Emerging Markets	•	•	•	●	•
Global Fixed Income	•	●	•	•	•
U.S. Governments	•	●	•	•	•
U.S. Mortgages	•	●	•	•	•
U.S. Corporates	•	●	•	•	•
International Fixed Income	•	●	•	•	•
High Yield	•	●	•	•	•
U.S. Investment-grade Tax Exempt	•	●	•	•	•
U.S. High Yield Tax Exempt	•	●	•	•	•
Alternative Investments*					
Hedge Strategies			●		
Private Equity					
Private Credit					
Real Assets			●		
Cash					

CIO Equity Sector Views

	CIO View				
Sector	Underweight		Neutral		Overweight
Industrials	•	•	•	●	•
Consumer Discretionary	•	•	•	●	•
Financials	•	•	•	●	•
Information Technology	•	•	●	•	•
Energy	•	•	●	•	•
Materials	•	•	●	•	•
Utilities	•	•	●	•	•
Healthcare	•	•	●	•	•
Communication Services	•	●	•	•	•
Real Estate	•	●	•	•	•
Consumer Staples	•	●	•	•	•

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of June 2, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Forward Total Return Index is an index that tracks the performance of the S&P 500 while assuming all cash dividends are automatically reinvested. While the standard S&P 500 only measures the raw price appreciation of its stocks, the TR version reflects the true compounding growth an investor actually experiences.

MSCI Emerging Markets Index is an index that tracks the performance of the S&P 500 while assuming all cash dividends are automatically reinvested. While the standard S&P 500 only measures the raw price appreciation of its stocks, the TR version reflects the true compounding growth an investor actually experiences.

London Metal Exchange Metal Index (LMEX) is a basket benchmark that tracks the global performance of six primary industrial metals. The index represents aluminum (42.8%), copper (31.2%), zinc (14.8%), lead (8.2%), nickel (2%), and tin (1%).

MSCI Emerging Markets Latin America Index captures large and mid cap representation across 5 Emerging Markets (EM) countries in Latin America.

S&P Goldman Sachs Commodity Index (GSCI) Energy Index provides investors with a reliable and publicly available benchmark for investment performance in the energy commodity market.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

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Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

June 22, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*America at 250: The Greatest Startup in History:* On July 4, 1776, a group of risk-takers, entrepreneurs and revolutionaries launched what would become the greatest startup in history: The United States of America. It was an audacious venture. The founders were attempting to build a new nation in defiance of the most powerful empire on earth. They possessed no established government, no central bank, no standing army capable of defeating Britain, no industrial base, and no guarantee that the 13 colonies would remain united. What could possibly go wrong? The odds, to say the least, were terrible. Yet they proceeded anyway—and 250 years later, the gamble has produced results beyond anything the Founders could have imagined. The U.S. today is home to the world's largest economy, deepest capital markets, most innovative companies, leading universities, and most dynamic entrepreneurial culture. Its citizens have generated breakthroughs that transformed transportation, communications, medicine, computing, energy and countless other industries. The startup launched in Philadelphia has become the most powerful economic enterprise in human history. And to this day, we continue to carry the DNA of our founders—optimism, imagination, relentless energy and curiosity, and fearlessness in the face of failure or uncertainty.

Market View—*America at 250: Ten Reasons to Celebrate:* As America approaches its 250th birthday, pessimism has become something of a national pastime. Political polarization, geopolitical tensions, rising debt and questions over America's future dominate the headlines. Yes, America has flaws, but, at 250 years old, the country still possesses a unique combination of advantages that no other nation can fully replicate. This week, we outline 10 reasons why we remain bullish on the long-term investment prospects of America. Household wealth, favorable geography, strong entrepreneurship, foreign capital flows, global grand presence, defense leadership, technological innovation, top-ranked universities, the world's reserve currency, economic competitiveness—each of these factors have contributed to America's legacy as the world's leading economic, financial, technological and military power. Indeed, the entrepreneurial DNA of 1776 continues to run strong through our nation—think the willingness to take risks, challenge conventions, attract talent, and reinvest itself. That's worth celebrating. Hence our U.S. bias in portfolios.

The Ticker Tape—*Top Questions Answered Directly by Our Chief Investment Officer (CIO).*

- What is our view regarding Gold versus Treasurys as a reserve currency?.
- What is the role of Private Capital versus Banks and the potential impact on portfolio construction?
- What is our view on the concentration and narrow performance driving the major indexes?
- What is the marketplace impact in which passive[1] assets under management (AUM) continue to grow relative to active[2] AUMs?

[1] Passive management is a hands-off strategy where you aim to match the performance of the overall stock market rather than beating it.

[2] Active management seeks to outperform benchmarks through active investment decisions such as asset allocation and investment selection.

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Portfolio Considerations

Structural themes like reindustrialization, reshoring, robotics and biotech are driving upside to earnings and margins, reinforcing an Equity overweight.

We maintain an overweight to Equities with a preference for U.S. Equities relative to the rest of the world and still favor a significant allocation to bonds in a well-diversified portfolio.

We would leverage market weaknesses and excessive strength to rebalance tactical exposures in the coming months.

MACRO STRATEGY

America at 250: The Greatest Startup in History

Joseph P. Quinlan, ***Managing Director and Head of CIO Market Strategy***
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On July 4, 1776, a group of risk-takers, entrepreneurs and revolutionaries launched what would become the greatest startup in history: the U.S.

It was an audacious venture. The founders were attempting to build a new nation in defiance of the most powerful empire on earth. They possessed no established government, no central bank, no standing army capable of defeating Britain, no industrial base and no guarantee that the 13 colonies would remain united.

What could possibly go wrong? The odds, to say the least, were terrible. Worse, by signing the Declaration of Independence, the signers were committing high treason against the Crown, a crime punishable by death. Benjamin Franklin understood the stakes when he famously quipped, "We must all hang together, or most assuredly we shall all hang separately."

Yet they proceeded anyway—and 250 years later, the gamble has produced results beyond anything the founders could have imagined.

The U.S. today is home to the world's largest economy, deepest capital markets, most innovative companies, leading universities and most dynamic entrepreneurial culture. Its citizens have generated breakthroughs that transformed transportation, communications, medicine, computing, energy and countless other industries. The startup launched in Philadelphia has become the most powerful economic enterprise in human history.

And to this day, we continue to carry the DNA of our founders—optimism, imagination, relentless energy and curiosity, and fearlessness in the face of failure or uncertainty.

The DNA of our founders. Ben Franklin was perhaps America's first great entrepreneur. Printer, inventor, scientist, diplomat, publisher and investor, he embodied intellectual curiosity and practical innovation. Franklin never stopped experimenting. He viewed failure not as a reason to quit but as part of the discovery process.

Transport Franklin to modern Silicon Valley, and he would feel right at home. He would marvel at artificial intelligence (AI), biotechnology and the internet. He would immediately recognize the restless spirit of entrepreneurs seeking to solve problems and create new industries. More than anyone, Franklin would appreciate that America remains a nation of tinkerers, inventors and dreamers.

Alexander Hamilton represented another critical element of America's success: Finance. Hamilton understood that a successful nation required functioning capital markets, sound institutions and access to investment capital. As America's first treasury secretary, Hamilton laid the foundation for the modern financial system. He championed public credit, established confidence in government debt and helped create the financial architecture that enabled investment and economic growth for centuries.

Were Hamilton to walk through Lower Manhattan today, he would undoubtedly be astonished by the scale of modern finance. The markets he helped create now allocate trillions of dollars around the globe and finance innovation on a scale unimaginable in the eighteenth century.

Then there was George Washington. Unlike Franklin the inventor or Hamilton the financier, Washington was a builder. A surveyor by training and a farmer by inclination, he thought in terms of land, infrastructure and long-term development. He understood that geography mattered and that connecting people, markets and resources would determine the nation's future.

Washington would be amazed by modern America. He would see a continent linked by highways, railroads, airports, ports, pipelines, satellites and fiber-optic networks. He would recognize a nation that fulfilled his vision of continental integration.

Investment Implications

A dynamic, entrepreneurial economy goes hand in hand with solid Equity returns. Risk-taking has been fundamental to the S&P 500's compound annualized total return of 11.7% since 1945. Diversified exposure to U.S. Equities should be the bedrock of portfolio construction in our view.

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Our founders differed in temperament and philosophy, but they shared common traits. They embraced risk. They valued ambition. They welcomed disruption. They believed in individual initiative. Above all, they possessed confidence in the future.

These traits have been passed down over the generations. It helped produce Robert Fulton (the steamboat), Samuel Morse (the telegraph), Thomas Edison (science), Henry Ford (autos), Walt Disney (entertainment), Steve Jobs (computers) and countless other risktakers that transformed an agrarian-based, sparsely-populated frontier economy into the world's most powerful nation in modern history.

In the 19th century, America morphed into an industrial powerhouse. In the 20th century, it became the center of global manufacturing, finance, and technological innovation. In the twenty-first century, it emerged as the global leader in AI, advanced computing, biotechnology and digital services.

Few nations have demonstrated such an extraordinary capacity for adaptation. But that does not mean America is without flaws. Indeed, if the founders could visit today, they would likely be impressed by the scale and success of their creation. But they would also have concerns.

Washington, who warned against factionalism in his farewell address, would be alarmed by the political tribalism and polarization. Hamilton would almost certainly be troubled by the nation's mounting debt and chronic deficits. Franklin, a believer in opportunity and civic responsibility, would likely focus on widening economic inequality and the growing divide between the rich and poor.

Yet despite these concerns, the founders would recognize America for what it is—an imperfect and unfinished republic, perpetually and incessantly willing and able to reinvent itself against staggering odds.

America as America's First Initial Public Offering (IPO). It is only fitting that on America's 250th birthday, the U.S. is on the cusp of a blockbuster IPO season that will bring to market leaders in space and AI. In 1776, America itself was essentially an IPO—or a radical venture with little capital and little assets, enveloped in plenty of uncertainty and risk.

At the time, there was no prospectus, no roadshow, no investment bankers and no ticker. The pitch was simple: Free people, operating within a system of economic liberty and political self-government, could create greater prosperity than an empire ruling from above. From the perspective of a rational investor, backing the American venture in 1776 surely looked reckless.

But it worked. Some 250 years later, the returns have been extraordinary. What's more, the DNA of 1776 lives on. Today, every IPO reflects some aspect of our founding fathers; Each IPO is a reenactment of 1776—a wager on an idea, backed by ambition and capital, that something today will be larger tomorrow.

In the end, 56 men placed their signatures on a document that launched a remarkable experiment on July 4, 1776. They could not know whether it would survive a year, much less two-and-a-half centuries. But after 250 years, the greatest startup in history is still growing.

Exhibit 1: The State of the Union: Then and Now.

1776	2026
No national government	Stable constitutional republic
No capital markets	World's deepest financial markets
No military	Top global military
Small population	340+ million people
Agricultural economy	Largest diversified economy in the world
Regional colonies	Continental superpower
Low probability of success	Greatest startup in history

Source: Chief Investment Office as of June 18, 2026.

MARKET VIEW

America at 250: Ten Reasons to Celebrate

Joseph P. Quinlan, ***Managing Director and Head of CIO Market Strategy***
Lauren Sanfilippo, ***Director and Senior Investment Analyst***
Ariana Chiu, ***Assistant Vice President and Investment Strategist***

As America approaches its 250th birthday, pessimism has become something of a national pastime. Political polarization, geopolitical tensions, rising debt and questions over America's future dominate the headlines. Yes, America has flaws, but, at 250 years old, the country still possesses a unique combination of advantages that no other nation can fully replicate. The U.S. remains one of the greatest economic success stories of modern history. Below, we outline 10 reasons to celebrate—and 10 reasons why we remain bullish on the long-term investment prospects of America.

First, no economy in the world is as large, diverse and wealthy as the U.S. economy. Think of our economy as a hydra-headed superpower, leading the world in such diverse activities as aerospace, agriculture, finance, energy, technology, health care, education and numerous other industries. With just over 4% of the global population, the U.S. generates roughly one-quarter of global gross domestic product. In nominal dollars, the U.S. economy is more than $11 trillion larger than China's. Never have so few people produced so much output, creating so much wealth. America's per capita income ($90,000) remains light years ahead of China ($14,000) and India ($2,700).[3]

Second, geography remains America's superpower. History's great powers have often been constrained by hostile neighbors, contested borders and limited resources. The U.S. faces none of these disadvantages. Protected by two vast oceans and bordered by friendly neighbors, America enjoys one of the most favorable geographic positions on Earth. The Great Plains are the largest continuous mass of arable land in the world; the Mississippi river system is an inland transportation network unrivaled on the planet. The Great Lakes are the largest group of freshwater lakes on earth.

At a time when water scarcity, food security, energy supplies and geopolitical tensions are increasingly important, America's geographic advantages are becoming more valuable—not less. Geography has historically been America's ally, and it remains so today.

Third, no major economy reinvests itself as relentlessly as the U.S. America's economic metabolism is different from the rest of the world. No country creates and destroys as manically as America. Just since 2010, some 40% of the companies on the Fortune 500 list have gone bankrupt, been acquired or ceased to exist. Meanwhile, as old firms die, new firms are spawned.

America's startup itch has only grown stronger in the past few years. According to the U.S. Census Bureau, nearly 6 million new businesses have been started in the U.S. over the last 12 months alone—a record high and a figure well above the average of the prior decade. Think of the latest AI-fueled market rally as yet another example of entrepreneurial America leading the way and the world.

Fourth, the U.S. remains a magnet for foreign capital. Capital goes where it is treated best and opportunities exist—and by that measure, global investors continue to favor the U.S.

At last count, the amount of foreign capital invested in the U.S. was around $50 trillion, according to the U.S. Department of Commerce. Bullish on America, the U.S. investment stakes of foreigners have increased nearly five-fold since the start of the century. These figures include hard assets (foreign direct investment in plants, equipment, real estate, research & development facilities, etc.), and portfolio/capital flows (foreign purchases of U.S. securities like Treasurys, Corporate Bonds, Government Agencies and U.S. Equities). No country in the world has been at the receiving end of so much foreign capital this century.

Fifth, America remains the home to the world's top global brands. The global economy increasingly runs on intangible assets—ideas, intellectual property, software and brands. Of the top 10 global brands in 2026, nine of 10 were American, according to

Investment Implications

Our overweight to the U.S. in portfolios is in part due to America's long-term structural advantages. We continue to believe that the U.S. economy can prove resilient this year given strong consumption and capital investment.

[3] Source: International Monetary Fund. Data as of June 2026.

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a report by BrandZ, which ranks the top 100 most valuable global brands. These brands represent more than commercial success; they are expressions of American soft power. The influence of American culture, technology and business extends far beyond its borders.

Sixth, America's hard power remains unmatched. Economic strength ultimately rests upon security, and, by this metric, the U.S. maintains the world's most capable military force, spending more on defense than the next six countries combined, according to the Stockholm International Peace Research Institute.

The ascent of China, the ongoing security threat from Russia, and the explosion in cybersecurity breaches—all of these factors have made global defense a growth industry. America's defense leadership is not merely a strategic asset—it is also an important economic advantage, supporting innovation across aerospace, cybersecurity, AI and advanced manufacturing.

Seventh, America remains the world's technology leader. China has made extraordinary technological progress over the past two decades, although the U.S. continues to lead the world in innovation.

Owing to the nation's risk-taking, not-afraid-to-fail entrepreneurial culture, the world's valuable technology companies are American. The market cap of some of America's leading technology leaders—like Nvidia ($5.1 trillion), Alphabet ($4.5 trillion) and Apple ($4.4 trillion)—is larger than the gross output of most nations. America is the largest market in the world for research and development spending, and, in terms of AI, investment in AI in the U.S. is light years ahead of most of Europe and the rest of the world.

Eighth, the top-ranked universities in the world are in the U.S. The nation's universities remain among its greatest assets. According to the Quacquarelli Symonds World University Rankings of the top 100 universities for 2026, 26% were located in America; four out of the top 10, and eight out of the top 20, were American universities. Given the quality of its higher education, the U.S. continues to attract the best and brightest from around the world, ultimately adding to the economy's pool of skilled/productive human capital. Many of the world's most innovative companies were founded or co-founded by immigrants who first arrived in America as students. Talent follows opportunity, and opportunity still flows disproportionately toward the U.S.

Ninth, the U.S. dollar remains the cornerstone of the global financial system. Predictions of the dollar's demise have become a recurring feature of modern finance. Yet the greenback remains the world's dominant reserve currency, the primary medium of global trade and finance, and the ultimate safe-haven asset during periods of crisis.

According to the latest data from the International Monetary Fund, the dollar accounted for 56.8% of allocated global central bank reserves as of Q4 2025. For second-place euro, the currency's share of central bank holdings declined from 24% in mid-2009 to 20% in Q4 2025. The dollar's status provided the U.S. with what has long been called an "exorbitant privilege"—the ability to borrow, invest and transact on terms few other nations can match. For now, there remains no credible global substitute to the buck.

Finally, America remains one of the world's most competitive economies. Competitiveness reflects a nation's ability to adapt, innovate, attract talent and generate productivity-led growth, and based on all of the above, the U.S. ranks as a global leader. According to the IMD World Competitiveness Rankings of 2025, the U.S. ranked 13th overall, trailing smaller economies like Switzerland, Sweden and Denmark. Meanwhile, the U.S. ranked third in the latest global talent competitiveness survey from the World Economic Forum. Only Switzerland and Singapore ranked higher. The upshot: Competitiveness matters—and in the U.S. is positioned to remain among the world's most competitive economies.

Summing it all up: At 250 years old, America remains the world's leading economic, financial, technological and military power. The entrepreneurial DNA of 1776 continues to run strong through our nation—think the willingness to take risks, challenge conventions, attract talent, and reinvest itself. That's worth celebrating.

Top questions answered directly by our CIO. 60 seconds of your questions and our answers.

Christopher Hyzy, *Chief Investment Officer*

What is our view regarding Gold versus Treasurys as a reserve currency? Gold recently overtook Treasury as a "reserve" currency held by non-U.S. central banks. The approximate exposure is 27% in Gold and 22% in Treasurys overall according to the European Central Bank as of the end of May. This move was primarily driven by calculation using 2023 prices. Treasurys would still be the top holding at 26% versus 16% for Gold if the price rise in Gold was not factored into the equation. The price of Gold and its significant appreciation is the primary reason for the recent move above the Treasury allocation. However, non-U.S. investors are increasingly using Gold to hedge U.S. Dollar exposure and inflation risks, diversify their holdings overall as supply chain and trade exposure have shifted, and potentially cushion against rising debt loads. We don't expect this to have a material effect on the reserve currency status of the Dollar or the level of long-term rates in the U.S. given the size of the U.S. economy, the size and liquidity of the Treasury market, and the potential for rising demand for Treasurys from index managers, Banks, and future stable coin managers.

What is the role of Private Capital versus Banks and the potential impact on portfolio construction? Both play a pivotal role in the overall liquidity and true functioning of the capital market system in the U.S. and globally. The rising need and demand for assets continues to place upward pressure on asset prices (and volatility), which requires large liquidity pools of capital. Regulation adjustments in the post-2008/2009 Global Financial Crisis era created a need for additional liquidity pools in search of specific assets, namely in the credit markets. This supported the rise in Private Credit given the investor demand and the new capital ratio restrictions within the banking system. Public and private capital helps improve liquidity, establishes a well-functioning system, and allows for new asset classes to be developed and investor demand to be satisfied, in our view.

What is our view on the concentration and narrow performance driving the major indexes? Indexes over the course of history have generally been concentrated. This is nothing new and is more pronounced outside of the U.S. The concentration driven by market capitalization which then drives the impact on performance on a relative basis is usually based on the absolute level of profits and profit growth in the areas of greatest size. This is defined as the multiplier effect of market capitalization. If those areas are delivering the most attractive growth, outperforming in operating leverage and margins, and dominating as primary drivers of the economy then the "concentration" makes sense, in our view. It's part math based on their size and part very solid fundamentals. If the fundamentals were not there then investors would be allocating and shifting their funds elsewhere. A broader, more diversified advance of a market tends to produce less volatile but lower returns than more highly concentrated markets. This occurs as the lower market capitalization weighted companies become the primary leaders and they must work overtime given their lower weights. An example would be the Energy sector which has a very low weight (less than 5%) recently becoming a leader given the rise in oil prices and the resulting positive effect on their fundamentals. A sector that has a small weight with positive fundamentals can't move the needle without the larger sectors joining the leadership group. Technology gets all the attention from investors and the media, but we like to describe this latest concentrated phase as the era of Innovation. Innovation in Technology, Industrials, Communication Services, Healthcare, Transportation, Infrastructure, etc. There are a variety of performance leaders based on solid fundamentals in a wide array of areas that are not just the big five or top 10 largest companies.

What is the marketplace impact in which passive assets under management (AUM) continue to grow relative to active AUMs? Passive investing has grown steadily for decades and now exceeds active management assets, which is a trend that is expected to continue. It is structurally difficult for most active managers to outperform indexes because they typically hold smaller weights in the top market capitalization stocks due to constraints. Additionally, when many active managers own Large-cap leaders, their collective activity can reinforce index performance. Investors are increasingly favoring lower-cost, tax-efficient vehicles that provide broad and flexible exposure across markets and themes. As a result, portfolios are evolving toward a core allocation of passive vehicle exposures complemented by active allocations in alternatives and specialized opportunities, for qualified investors. Going forward, active decision-making is shifting toward asset allocation, theme selection, and portfolio rebalancing, especially with the growth of active exchange-traded funds and not necessarily individual active management solutions.

Portfolio Considerations

We maintain an overweight to Equities with a preference for U.S. Equities relative to the rest of the world and still favor a significant allocation to bonds in a well-diversified portfolio. We would leverage market weaknesses and excessive strength to rebalance tactical exposures in the coming months.

MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
Equities	Current	WTD	MTD	YTD
DJIA	51,564.70	0.8	1.2	8.2
NASDAQ	26,517.93	2.4	-1.6	14.4
S&P 500	7,500.58	1.0	-1.0	10.2
S&P 400 Mid Cap	3,791.48	-0.1	1.9	15.4
Russell 2000	2,979.77	1.2	2.2	20.7
MSCI World	4,834.43	1.0	-0.6	9.9
MSCI EAFE	3,141.16	1.2	0.8	10.2
MSCI Emerging Markets	1,790.05	4.4	2.4	28.6

Fixed Income†

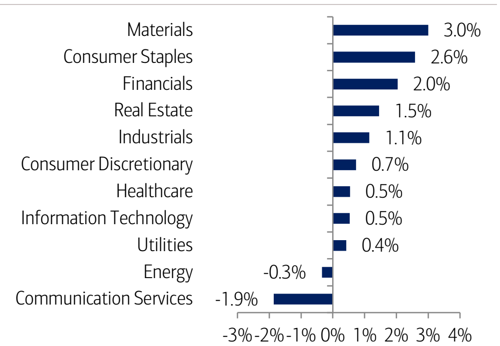
	Total Return in USD (%)			
Fixed Income	Current	WTD	MTD	YTD
Corporate & Government	4.66	0.17	0.14	0.38
Agencies	4.46	0.02	-0.05	0.42
Municipals	3.60	0.37	0.65	2.00
U.S. Investment-Grade Credit	4.74	0.15	0.12	0.49
International	5.20	0.15	0.10	0.77
High Yield	7.12	0.09	0.12	1.81
90 Day Yield	3.74	3.70	3.67	3.63
2 Year Yield	4.18	4.08	4.00	3.47
10 Year Yield	4.45	4.48	4.44	4.17
30 Year Yield	4.90	4.97	4.97	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	325.12	-1.9	-5.9	17.7
WTI Crude $/Barrel††	76.60	-9.8	-12.3	33.4
Gold Spot $/Ounce††	4209.97	-0.2	-7.3	-2.5

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.15	1.16	1.17	1.17
USD/JPY	161.38	160.24	159.27	156.71
USD/CNH	6.78	6.76	6.76	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 06/15/2026 to 06/18/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 06/18/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 6/18/2026)

Economic Forecasts	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.1	3.4
Real U.S. GDP (% q/q annualized)	2.0	2.5	1.9	1.9	2.1	2.2
CPI inflation (% y/y)	2.7	4.0	3.7	3.6	3.5	2.2
Core CPI inflation (% y/y**)	2.5	2.8	2.7	2.9	2.7	2.4
Unemployment rate (%)	4.3	4.3	4.3	4.3	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of June 18, 2026.
Sources: BofA Global Research; GWIM ISC as of June 18, 2026..

Asset Class Weightings (as of 6/2/2026)

Asset Class	Underweight		CIO View Neutral	Overweight	
Global Equities	•	•	•	●	•
U.S. Large-cap Growth	•	•	•	●	•
U.S. Large-cap Value	•	•	•	●	•
U.S. Small-cap Growth	•	•	•	●	•
U.S. Small-cap Growth	•	•	•	●	•
International Developed	•	●	•	•	•
Emerging Markets	•	•	•	●	•
Global Fixed Income	•	●	•	•	•
U.S. Governments	•	●	•	•	•
U.S. Mortgages	•	●	•	•	•
U.S. Corporates	•	●	•	•	•
International Fixed Income	•	●	•	•	•
High Yield	•	●	•	•	•
U.S. Investment-grade Tax Exempt	•	●	•	•	•
U.S. High Yield Tax Exempt	•	●	•	•	•
Alternative Investments*					
Hedge Strategies					
Private Equity					
Private Credit					
Real Assets					
Cash					

CIO Equity Sector Views

Sector	Underweight		CIO View Neutral	Overweight	
Industrials	•	•	•	●	•
Consumer Discretionary	•	•	•	●	•
Financials	•	•	•	●	•
Information Technology	•	•	●	•	•
Energy	•	•	●	•	•
Materials	•	•	●	•	•
Utilities	•	•	●	•	•
Healthcare	•	•	●	•	•
Communication Services	•	●	•	•	•
Real Estate	•	●	•	•	•
Consumer Staples	•	●	•	•	•

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of June 2, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

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Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Securities issued in IPOs have no trading history, and information about the companies may be available for very limited periods. Prices of securities issued in IPOs may be highly volatile, and such investments may result in increased transaction costs and expenses.

ETF shares are not guaranteed or insured by the Federal Deposit Insurance Corporation (FDIC) or any other government agency. Investment returns may fluctuate and are subject to market volatility, so that an investor's shares, when redeemed or sold, may be worth more or less than their original cost.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

June 15, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*About the U.S. Federal Budget Deficit, Intrayear Market Drawdowns and China Trade:* This week, we highlight three dynamics that remain top of mind for investors. First, on the topic of the U.S. federal budget deficit: Deficits matter and have ballooned this decade, but we don't view it as an existential risk to the U.S. economy and capital markets. The deficit has technically narrowed this fiscal year, hovering at around 5.2% of gross domestic product (GDP), while public sector debt stands at a manageable 100% of GDP. Second, on the concerns of a potential market correction: Intrayear drawdowns are the rule, not the exception. Amid worries about valuations, inflation and geopolitical conflict, remember that market drawdowns are part and parcel of investing and essential to long-term gains. Third and finally, on the subject of China's trade surplus: Mercantilism is alive and well, with China's trade surplus still tracking at an annualized $1.2 trillion. Think more protectionism, industrial policy and inward-looking economies around the world, auguring for more capital spending and reinforcing our conviction in this multi year infrastructure buildout.

Market View—*The AI Bubble Debate:* Few questions have followed this bull market more closely than whether this Artificial Intelligence (AI)-fueled rally is building toward a bubble—and the debate has once again moved to the forefront. While similar concerns have surfaced at various points during this cycle, they have largely proven premature, with equity markets continuing to advance. Still, the persistence of the question reflects a deeper uncertainty. This rally is being driven by a structural technological shift expected to unfold over multiple years. AI has the potential to boost productivity growth, expand margins and drive long-term economic growth, but the timing and magnitude of those gains remain uncertain, leaving investors navigating a wide range of possible outcomes. For investors, the focus should shift from prediction to positioning: Staying diversified, avoiding overconcentration and remaining disciplined as the AI cycle continues to evolve.

Thought of the Week—*Game On: Keeping Consumer Financial Health In Check:* Tickets for the New York Knicks Finals and the expected surge in spending ahead of the FIFA World Cup highlight the strength of experiential consumption. Consumers are demonstrating a clear willingness to pay premium prices and that's reflected in solid aggregate spending, with total card outlays rising 5.1% year-over-year (YoY) in May according to Bank of America Institute card data.

Despite the gasoline "tax" of roughly $32 billion added to the consumer burden since the U.S./Iran war broke out, overall spending has remained intact. Importantly, this strength has extended beyond the additional dollars at the pump, with underlying demand for both goods and services still solid. While household debt service remains manageable relative to history, consumers have increasingly reached for credit, with total balances approaching record highs although not materially derailing the consumer.

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Lauren Sanfilippo
Director and Senior Investment Strategist

MACRO STRATEGY ▶

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THOUGHT OF THE WEEK ▶

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Portfolio Considerations

Structural themes like reindustrialization, reshoring, robotics and biotech are driving upside to earnings and margins, reinforcing an Equity overweight.

We maintain an overweight to Equities with a preference for U.S. Equities relative to the rest of the world and still favor a significant allocation to bonds in a well-diversified portfolio.

We would leverage market weaknesses and excessive strength to rebalance tactical exposures in the coming months.

About the U.S. Federal Budget Deficit, Intrayear Market Drawdowns, and China Trade

Joseph P. Quinlan, ***Managing Director and Head of CIO Market Strategy***

We highlight three dynamics that are top of mind among investors: The federal budget deficit, market drawdowns and China's soaring trade surplus.

The U.S. Federal Budget Deficit: Don't Sweat It. Yes, deficits matter. And yes, the U.S. federal budget deficit (in both relative and absolute terms) has ballooned this decade. But that said, we don't view the deficit as an existential risk to the U.S. economy and capital markets—and neither does Wall Street. If the markets were really concerned about the deficit, the dollar would be weakening, Treasury yields would be exploding, and capital would be fleeing the U.S. None of those factors are at play: The greenback remains the world's reserve currency; Treasury securities remain the world's benchmark less risky asset; and foreign demand for U.S. securities remains solid.

Alleviating investor concerns is the fact that the U.S. budget deficit has actually narrowed this fiscal year. That's not a typo: Through the first eight months of FY 2026, the deficit tallied $1.2 trillion, down $118 billion from the same period a year ago. That's an 8.7% decline in the deficit according to figures from the U.S. Treasury. The deficit as a percentage of GDP has been tracking at 5.2% over the last 12 months, relatively close to the average of 4.6% since 2000 (Exhibit 1A).

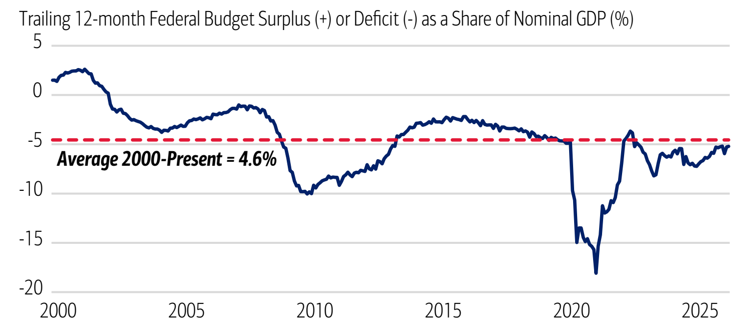
Presently, public sector debt as a percentage of GDP hovers around 100% (Exhibit 1B), which, we believe, is a manageable level for a $32 trillion economy considered to be the most dynamic and resilient in the world. We view the federal budget deficit as a slow-moving structural headwind rather than a fast-approaching fiscal cliff. Yes, mandatory spending programs like Medicare, Medicaid and Social Security bear close watching. Ditto for defense spending and interest payments on existing debt. The future trajectory of the U.S. economy is key since growth is the tonic to deficits. Since we believe the U.S. will continue to lead the world in innovation, continue to attract top global talent, remain the preferred destination of capital, and realize meaningful productivity gains from AI—against this backdrop, the U.S. debt challenge remains manageable.

Investment Implications

U.S. growth, backstopped by innovation, capital demand and productivity gains, keeps debt manageable for now, in our view. We continue to maintain a U.S. bias in portfolios and would view near-term pullbacks as potential buying opportunities for long-term investors. Finally, we remain overweight Industrials amid a historic infrastructure buildout and capital spending cycle.

Exhibit 1: Don't Sweat the Federal Budget Deficit.

A) Budget Deficit Tracking at 5.2% of GDP.



B) U.S. Publicly-Held Debt Hovering at 100% of Nominal Output.

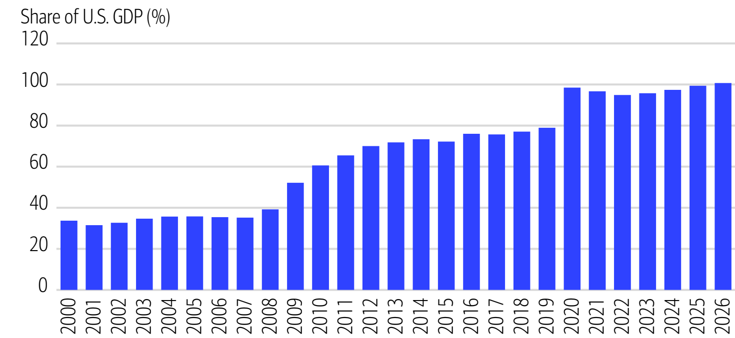


Exhibit 1A) Sources: U.S. Treasury, Congressional Budget Office; Bureau of Economic Analysis; Bloomberg. Data as of June 10, 2026. Exhibit 1B) Sources: U.S. Treasury; Haver Analytics. Data through Q1 2026, as of June 11, 2026.

Market Drawdowns: The Rule, Not the Exception…and a Potential Opportunity. Investment returns never follow a straight line. There are always zigs and zags or, in investment parlance, intrayear drawdowns that can test the mettle of investor confidence. That is all too evident from Exhibit 2A, which illustrates annual S&P 500 returns since 2000 versus intrayear drawdowns or market declines. The key takeaway—the journey to market returns is rarely smooth.

Indeed, since 1980, the average intrayear drawdown for the S&P 500 has been around 15%. Since 2000, market corrections of 10% or more have occurred in 16 years out of 26, or about 62% of the time.

Drawdowns are part and parcel of investing—a key fact worth noting as concerns mount over the durability of the current rally. These concerns include elevated valuations for a handful of AI and technology stocks that have driven a disproportionate share of market gains this year; narrow market leadership and outsized market concentration; elevated levels of inflation, muddling the outlook for interest rates and complicating the job of the Federal Reserve (Fed); and geopolitical stress points, notably in the Middle East.

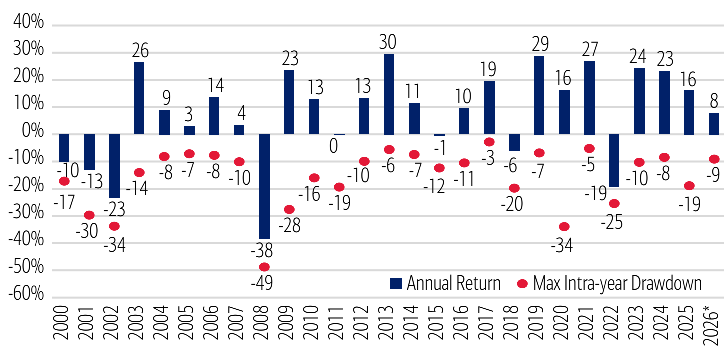
Given the above, all the ingredients are in place for a near-term pullback—that would not surprise us. But that said, it is important to remember that drawdowns are not only unavoidable but also essential. Superior long-term returns offered by stocks exist precisely because investors must tolerate periodic bouts of uncertainty and volatility. If Equities delivered high returns without any risks, investors would bid prices higher until those excess returns disappeared. The discomfort and uncertainty associated with drawdowns is the price investors pay for long-term gains.

It is also important to remember the following: Historically, some of the strongest market rallies have occurred during periods of maximum pessimism and that missing even a handful of the market's best recovery days would have significantly reduced long-term returns. Ergo, stay in the market. Finally, market corrections are normal—and from our perspective, attractive potential buying opportunities for long-term investors.

China's Trade Surplus: Mercantilism is Alive and Well. We believe China's widening trade surplus is one of the most important structural forces shaping the global economy, and therefore note that through the first five months of this year, there has been no let up. The nation's massive merchandise exports grew by 24% in May alone, surpassing $4 trillion on an annualized basis for the first time on record. On a 12-month trailing basis, the trade surplus is running at an annual clip of $1.2 trillion, strongly suggesting that mercantilism is alive and well in China (Exhibit 2B). This comes on the heels of a surplus of $993 billion in 2024 and $1.2 trillion in 2025.

Exhibit 2: Volatility is Normal, and China's Trade Surplus is Structural.

A) Intra-Year Drawdowns in the S&P 500 Are Par for the Course.



B) Mercantilism is Alive and Well: China's $1.2 Trillion Trade Surplus.

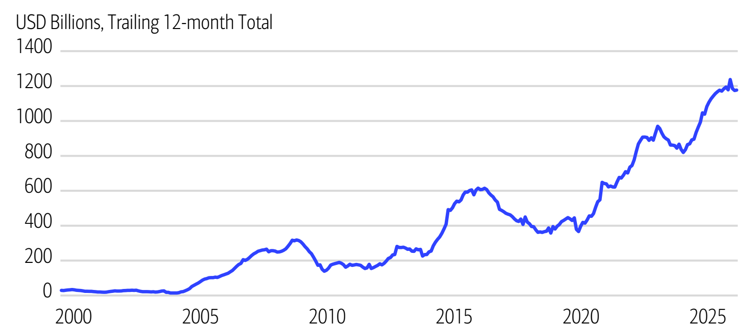


Exhibit 2A) *Year-to-date through June 9, 2026. Source: Bloomberg. Data as of June 9, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index. Exhibit 2B) Sources: China's General Administration of Customs; Haver Analytics. Data as of June 9, 2026.

The scale of China's surplus reflects its underlying export prowess—the nation is not only moving up the value chain in terms of exports (electric vehicles, batteries, solar panels, industrial robots, etc.). It still remains dominant in the export of lower-value manufacturing goods like footwear, textiles and apparel. The result is a manufacturing powerhouse unlike anything the modern world has seen.

China's ballooning trade surplus matters because the greater the surplus, the greater the risk of rising global protectionism and its offshoots—more nationalism, more industrial policies, more fragmented global supply chains and more resource protectionism. The U.S., Europe, India, Brazil, Mexico and others have become more vocal about China's excess capacity hurting their own domestic industries.

China's mercantilism is effectively encouraging other countries to become mercantilist themselves. The key focus of governments has flipped from being globally opened to being domestically focused. The emphasis of nations is now squarely on domestic manufacturing, supply chain resilience, national security, energy security and technological sovereignty. That equates to a more inward-looking, higher-cost global economy for both consumers and corporations.

From an investment perspective, this means more spending on capital spending—or more investment in power grids, factories, ports, ships, defense, data centers and related facilities. Believing we are in a multi year infrastructure buildout, we remain overweight and constructive on all things industrial.

MARKET VIEW

The AI Bubble Debate

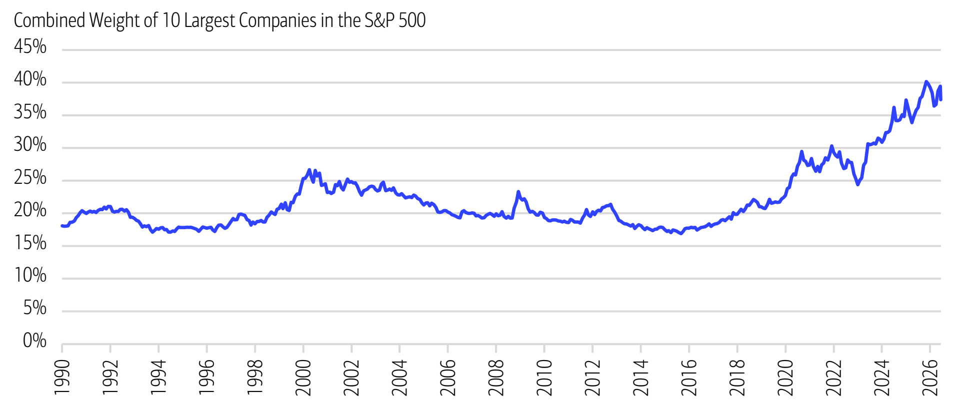
Kirsten Cabacungan, ***Vice President and Investment Strategist***

Few questions have followed this bull market more closely than whether this AI-fueled rally is building toward a bubble—and the debate has once again moved to the forefront. While similar concerns have surfaced at various points during this cycle, they have largely proven premature, with equity markets continuing to advance. Still, the persistence of the question reflects a deeper uncertainty. This rally is being driven by a structural technological shift expected to unfold over multiple years. AI has the potential to boost productivity growth, expand margins and drive long-term economic growth, but the timing and magnitude of those gains remain uncertain, leaving investors navigating a wide range of possible outcomes.

Recent volatility has sharpened the debate. Following a sharp AI-led rebound that quickly pushed the S&P 500 back to all-time highs following the recent drawdown, the Technology rally has paused as investors reassess positioning amid renewed geopolitical tensions and inflation surprises. While such volatility is not unusual, it has reinforced the question of whether markets have moved too far, too fast.

These concerns are not without merit. This bull market has been characterized by unusually narrow leadership, with a small group of mega-cap, AI-linked companies driving a disproportionate share of returns. Just 10 stocks have accounted for more than half of the S&P 500's cumulative 114% total return since the bull market began in October 2022, while the weight of the top 10 stocks in the index has risen to roughly 37%, one of the highest levels over the last three decades (Exhibit 3). At the same time, valuation measures remain above historical averages. While elevated multiples can be justified in periods of strong earnings growth, they can also leave markets sensitive to changes in expectations. As recent weakness in software stocks has shown, sentiment can change quickly when growth assumptions are challenged.

Exhibit 3: The Largest 10 Stocks Represent More Than a Third of the S&P 500.



Source: Bloomberg. Data as of June 10, 2026.

The scale of investment tied to the AI buildout has further intensified the debate. Spending on AI infrastructure is accelerating rapidly, with BofA Global Research estimating hyperscaler capital expenditures could approach $800 billion in 2026, reflecting a 67% increase from last year, and trend toward $1 trillion in 2027. Investor scrutiny over the last few years has largely stemmed from questions on whether the economic return will ultimately justify this level of investment and how quickly that spending can translate into sustained earnings growth and economywide productivity gains.

Investment Implications

We see a series of reinforcing trends in this environment, with the AI buildout continuing to accelerate and the fundamental backdrop supported by robust earnings growth and upward earnings revisions. We maintain an overweight to Equities, but emphasize broad diversification across sectors, style, size and geographies as risks remain. We continue to view periods of market weakness as potential buying opportunities.

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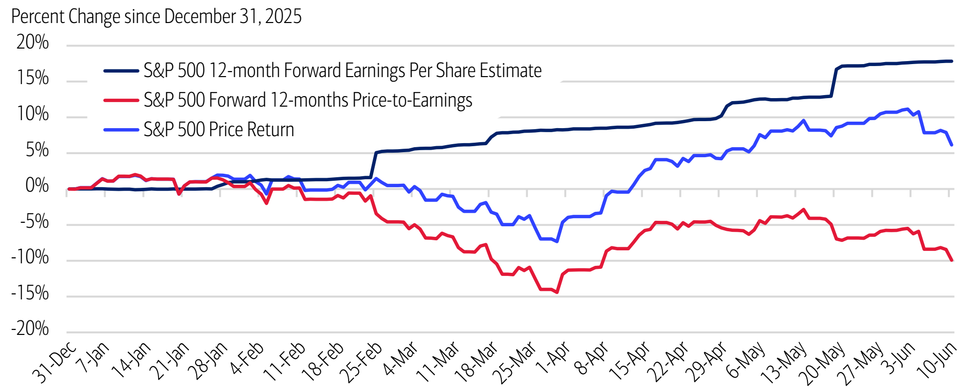
Yet focusing solely on these factors risks missing what makes the current cycle different. Unlike the late-1990s Dot-com bubble, the bull market today has been broadly aligned with the underlying earnings trends. According to analysis by Strategas Research, the S&P 500's trailing earnings growth over the last five years (+79%) is roughly equivalent to its total return (+85%) over the same period, while the Dot-com era from 1995 to 1999 saw total return (+220%) for the index significantly outpace earnings growth (+67%).[1] In fact, S&P 500 returns this year have been supported by strong earnings growth, leading to modest multiple compression rather than the broad valuation expansion typical of speculative excess (Exhibit 4).

Exhibit 4: Earnings, Not Multiple Expansion Has Underpinned the S&P 500 Rally this Year.



Source: Bloomberg. Data as of June 10, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

This cycle distinction is reinforced by the underlying quality of the market itself. The composition of the S&P 500 has shifted over time toward higher profit margins, better credit quality, greater earnings durability and higher exposure to more growth-oriented areas. As a result, profitability today is structurally stronger than in prior decades, supporting higher average valuation levels than historical comparisons might imply. Even so, valuations have historically explained little about near-term returns and more about the variability in returns over longer time horizons.

The nature of the AI investment cycle also sets it apart. While the scale of capital expenditure is unprecedented, the cycle appears to be driven by strong underlying demand rather than speculative overbuild. Increasingly, the debate is shifting away from whether returns will come to whether AI infrastructure across compute, power generation, component supply, data center construction, can keep up with the demand. History suggests cycle peaks are driven by oversupply. The supply constrained environment today stands in contrast to the considerable capacity overbuild during the late 1990s.

Still, this backdrop does not eliminate risk. The sustainability of earnings over time remains a key vulnerability. A slowdown in growth or tighter financial conditions in a scenario where the Fed must hike interest rates to fight inflation could challenge current expectations. Given a high level of concentration, any change in sentiment toward those leading companies could have an outsized impact on broader market performance.

In that context, the question facing investors is less about whether this is a bubble and more about how to navigate a market defined by both strong fundamentals and evolving risks. Rather than taking an all-or-nothing view, investors should remain diversified, avoid overexposure to any single theme and stay anchored in a disciplined investment process. The AI cycle may prove durable, but the path ahead may not always be linear.

[1] Strategas Research, "Not yet like 1999." May 27, 2026.

THOUGHT OF THE WEEK

Game On: Keeping Consumer Financial Health In Check

Lauren Sanfilippo, ***Director and Senior Investment Strategist***

Tickets for the New York Knicks Finals and the anticipated surge in spending ahead of the FIFA World Cup both serve as powerful indicators of consumer demand trends. Whether it's tickets-at-any-cost, or sold-out stadiums and arenas, experientially driven consumers are happily hiking their spending to meet prices. More broadly, aggregate spending has been remarkably robust over the month of May, with total card spending rising 5.1% YoY in May, according to Bank of America Institute internal card data.

The energy price spike emanating from the Middle East conflict has ladled on an extra consumer burden of $32 billion since the start of the war. National averages for a gallon of unleaded regular gasoline have climbed to roughly $4.15 per gallon from $2.98, adding extra sting to inflation that's running above 4% as of the latest consumer price index reading for May.[2] But it isn't just gasoline-driven spending, Institute data suggests underlying spending remains firm across both goods and services.

That's partially attributable to aggregate debt service that remains relatively contained. As a share of disposable personal income, household debt service ratios are still modest by historical standards and well below the peaks seen ahead of the financial crisis (Exhibit 5A). However, in sustaining the spending momentum, consumers have been running up their credit card balances plenty. Collectively topping $1.25 trillion[3] and encompassing both revolving (as in credit cards) and nonrevolving (mortgage, auto and student loans), consumer credit is back near record highs.

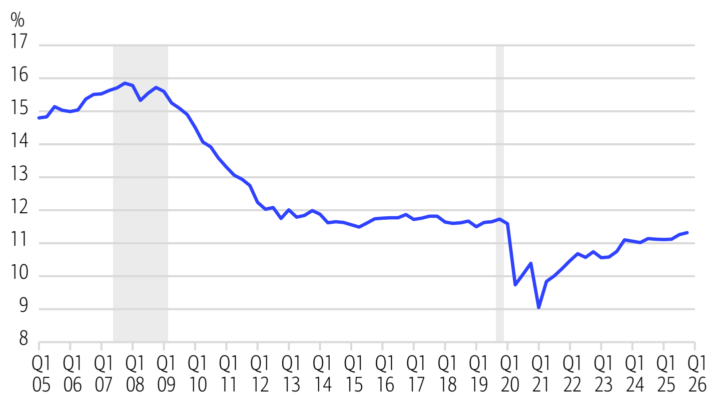
Some of these hairline cracks are notable, like the percentage of credit card balances at least 90 days delinquent, which rose to 13.12% in Q1 of this year, according to the Federal Reserve Bank of New York. That's the highest balance since the period following the 2008 financial crisis (Exhibit 5B). What's more, consumers are paying average interest rates on credit cards north of 21%. More adverse too is the advent of "Rent-Now, Pay-Later," a small bump up in foreclosures, or higher car repossessions. All of which we keep in perspective with consumption trends generally resilient. It's game on for the consumer heading into the summer.

Portfolio Considerations

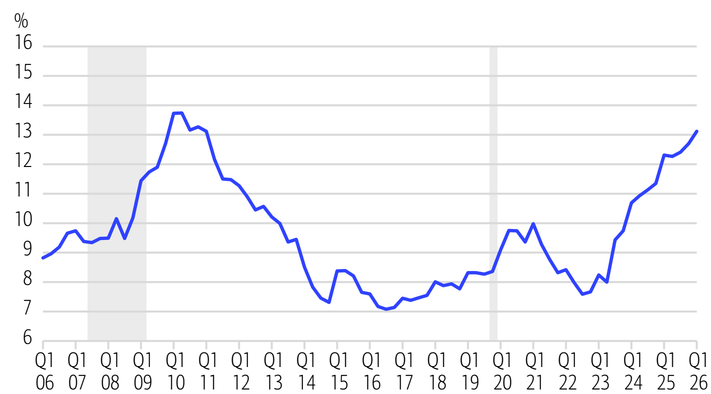
Consumption has remained resilient despite rising rates and mounting debt levels. As an expression of that, and within our Equity allocation, we remain underweight Consumer Staples and overweight Consumer Discretionary.

Exhibit 5: Adding Up Debt Service and Delinquencies.

A) Debt Service Payments as a % of Disposable Personal Income.



B) Credit Card Balances 90+ Days Delinquent.



Exhibits 5A and5B) Source: Federal Reserve. Data as of June 11, 2026.

[2] Brown University, The Watson School of International and Public Affairs Iran War Energy Cost Tracker. Tracks the extra cost paid for gasoline since the conflict began on February 28, 2026. Data as of June 11, 2026.

[3] Source: Federal Reserve data as of June 2026.

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MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	51,202.26	0.7	0.5	7.4
NASDAQ	25,888.84	0.7	-4.0	11.7
S&P 500	7,431.46	0.7	-1.9	9.2
S&P 400 Mid Cap	3,796.32	2.8	2.0	15.5
Russell 2000	2,943.99	3.9	0.9	19.2
MSCI World	4,788.22	0.7	-1.5	8.8
MSCI EAFE	3,103.02	1.0	-0.4	8.9
MSCI Emerging Markets	1,715.97	0.0	-1.9	23.2

Fixed Income†

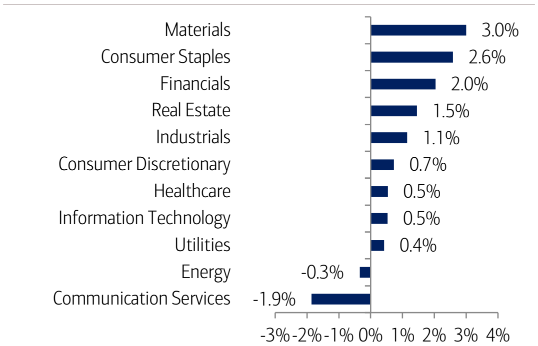
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.64	0.48	-0.03	0.21
Agencies	4.41	0.31	-0.08	0.39
Municipals	3.65	-0.12	0.28	1.62
U.S. Investment-Grade Credit	4.72	0.52	-0.03	0.35
International	5.18	0.55	-0.04	0.62
High Yield	7.10	0.45	0.03	1.71
90 Day Yield	3.70	3.71	3.67	3.63
2 Year Yield	4.08	4.15	4.00	3.47
10 Year Yield	4.48	4.53	4.44	4.17
30 Year Yield	4.97	5.00	4.97	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	331.33	-2.3	-4.1	19.9
WTI Crude $/Barrel††	84.88	-6.3	-2.8	47.8
Gold Spot $/Ounce††	4219.33	-2.5	-7.1	-2.3

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.16	1.15	1.17	1.17
USD/JPY	160.24	160.29	159.27	156.71
USD/CNH	6.76	6.79	6.76	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 06/08/2026 to 06/12/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 06/12/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 6/12/2026)

	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.1	3.4
Real U.S. GDP (% q/q annualized)	2.0	2.5	1.9	1.9	2.1	2.2
CPI inflation (% y/y)	2.7	4.0	3.7	3.6	3.5	2.2
Core CPI inflation (% y/y**)	2.5	2.8	2.7	2.9	2.7	2.4
Unemployment rate (%)	4.3	4.3	4.3	4.3	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.63	3.63	3.63	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of June 12, 2026.
Sources: BofA Global Research; GWIM ISC as of June 12, 2026. .

Asset Class Weightings (as of 6/2/2026)

	CIO View				
Asset Class	Underweight		Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Growth				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies					
Private Equity					
Private Credit					
Real Assets					
Cash					

CIO Equity Sector Views

	CIO View				
Sector	Underweight		Neutral	Overweight	
Industrials				●	
Consumer Discretionary				●	
Financials				●	
Information Technology			●		
Energy			●		
Materials			●		
Utilities			●		
Healthcare			●		
Communication Services		●			
Real Estate		●			
Consumer Staples		●			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of June 2, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Index Price Return measures the market capitalization-adjusted value of 500 leading U.S. publicly traded companies. It reflects only changes in stock prices and excludes the reinvestment of dividends.

Consumer Price Index is a key economic indicator that measures the average change over time in the prices paid by urban consumers for a representative "market basket" of consumer goods and services..

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Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

June 8, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Midterms Q&A: The Market's Next Big Hurdle:* With less than six months to go, the midterm elections are coming into sharper focus. No two election cycles are created equal, but history may be a useful guide as the season unfolds. Historically, increased volatility has been typical ahead of election season, but reacting to it has rarely paid. While the S&P 500 often experienced modest gains and seasonally weak months during midterm years, the real story emerges once political uncertainty fades into the rearview. The months following an election regularly brought a pronounced rebound regardless of the political party in power. For markets, profits matter more than politics. For investors, the implication is straightforward—tune out the election, the noise, stay focused on fundamentals, and maintain a long-term perspective regardless of how the political winds shift.

Market View—*Mega IPOs: Some Thoughts on Trading Dynamics, Liquidity and Retail Access:* A pipeline of three high-profile initial public offerings (IPO)—primarily within the Artificial Intelligence (AI) and broader Technology and Telecommunications sectors—is expected in mid-2026, likely attracting significant investor attention and media focus. While the headline valuations are sizable, market structure and post-IPO trading dynamics suggest the immediate impact on broader portfolios may be more contained than anticipated. At the same time, alternative access routes such as Special Purpose Vehicles (SPV) for qualified investors, private vehicles, and exchange-traded funds (ETF) introduce additional structural, valuation, and regulatory considerations that require careful assessment. Overall, our outlook remains cautiously constructive: The market appears capable of absorbing the new issuance, but near-term performance is likely to be influenced more by supply-demand dynamics and technical factors than underlying fundamentals, with potential for increased volatility.

Thought of the Week— *What Do Shifting Rate Expectations Mean for the U.S. Debt Maturity Wall?:* Since the start of the U.S./Iran conflict on February 28, the market has gone from pricing in 2 to 3 interest rate cuts this year to seriously entertaining the possibility of a rate hike. Where rates are headed matters not just for rate-sensitive areas of the economy like housing and construction but also for the wall of U.S. government debt set to mature. Indeed, owing to massive pandemic-era borrowing, $9 trillion must be refinanced through year-end at higher rates. Meanwhile, the U.S. Treasury's preference for shorter-term issuance suggests refinancing needs may remain elevated.

Inflation will be key to watch this summer, though the good news is that long-run inflation expectations are still well-anchored and demand for U.S. debt stands strong. Though not our base case, an unexpected shift in Federal Reserve (Fed) policy would pose risks not only to growth but also to America's debt interest burden. We continue to urge diversification in portfolios given shifting expectations.

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Portfolio Considerations

Structural themes like reindustrialization, reshoring, robotics and biotech are driving upside to earnings and margins, reinforcing an Equity overweight.

We maintain an overweight to Equities with a preference for U.S. Equities relative to the rest of the world and still favor a significant allocation to bonds in a well-diversified portfolio.

We would leverage market weaknesses and excessive strength to rebalance tactical exposures in the coming months.

Midterms Q&A: The Market's Next Big Hurdle

Emily Avioli, ***Vice President and Investment Strategist***
Jordy Fuentes, ***Wealth Management Analyst***

Amid this year's relentless news cycle, investors could be forgiven for overlooking an important event on the horizon: The midterm elections are fast approaching. With less than six months to go, however, it may be time to bring them into sharper focus.

Volatility around midterm election years isn't unusual, but this cycle may carry a heightened degree of investor unease. U.S. voters are heading into elections contending with elevated gas prices, inflation concerns, and a deepening affordability squeeze—all factors that could have meaningful electoral consequences. While no two elections are created equal, history may be a useful guide to help frame investor expectations as the season unfolds.

How much volatility should investors brace for? Midterm election years have historically exhibited higher volatility than other years, with the divergence becoming more pronounced over the summer and building into the final months before the election (Exhibit 1A). The Chicago Board Options Exchange Volatility Index confirms the pattern—volatility has generally built in the months before elections and has notably declined once political uncertainty is in the rearview.[1] While the data suggests that markets could get choppy as we inch closer to election day, it's worth noting that market corrections of 10% or more have occurred in only 29% of midterm election years since 1928. Midterm election years tend to be the weakest of any year out of the four-year presidential cycle, but, since 1928, the S&P 500 Index has still seen an annual total return of 7.1%, on average.

How can midterms influence seasonality trends? Compared to nonelection years, midterm years have been weaker in almost every month. September stands out as the laggard—since 1928, the S&P 500 has averaged a 1% loss and was higher only 50% of the time.[2] As political uncertainty begins to resolve, however, markets tended to experience a pronounced Q4 rebound. The S&P 500 has typically found its footing in October, advancing 67% of the time with an average total return of 2.5% (Exhibit 1B). Overall, S&P 500 Q4 total returns have averaged 6.5%, compared to a muted 0.2% total return during Q1, Q2, and Q3.[3]

A similar seasonal dynamic has been observed in Small-caps, with the Russell 2000 demonstrating a late-year recovery: November has been the strongest month for Small-caps in midterm years, delivering an average total return of 3.2% and positive outcomes 82% of the time.[4] Q4 performance for the Russell 2000 Index has historically averaged 6.5%, marking a sharp inflection from the -1.9% decline recorded on average over Q1, Q2, and Q3. Ultimately, Small-caps have seen a slightly negative average annual total return of -0.4% in midterm election years since 1982.

How does 2026 compare so far? Year-to-date (YTD) performance is already above annual midterm year averages, with Small-caps up 14.8% and Large-caps up 8.4%.[5] While defensives have modestly outperformed cyclicals during past midterm election years, 2026 has diverged from this pattern so far—the top-performing S&P 500 sectors YTD are Energy and Information Technology, with respective total returns of 29.2% and 17.1%. It could also be argued that some of the volatility typically observed in the second half of midterm election years has been pulled forward this year, with the S&P 500 already experiencing a peak-to-trough drawdown of 9.1% in 2026. This reinforces a key point: Every election cycle is unique. While history can provide helpful context, it is not a reliable predictor of market outcomes.

Investment Implications

If history is a guide, there could be more episodic volatility ahead as midterm election season approaches. In our view, any related market weakness could represent a potential buying opportunity for long-term investors.

1 Bloomberg. Refers to average VIX level around midterm elections from 1990 – 2022.
2 Bloomberg. Total returns referenced. Data as of June 1, 2026.
3 Bloomberg, average quarterly performance between Q1 and Q3 of midterm election years. Data as of May 29, 2026. Total returns referenced.
4 Bloomberg. June 2, 2026. Includes all available data from 1982 – 2022.
5 Bloomberg. May 29, 2026. Total returns referenced.

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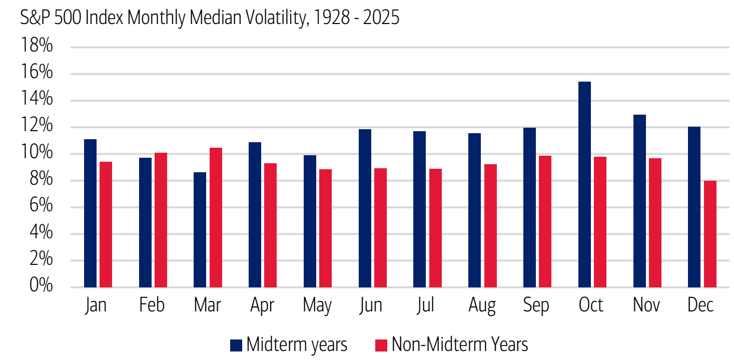
Does it really matter who wins? Midterm election outcomes can matter at the margin for S&P 500 returns. Equities generally favor divided government, as sweep scenarios elevate the risk of abrupt and disruptive policy shifts. Since 1928, the S&P 500 has delivered an average annual total return of 11.4% under a unified Congress, versus 13.5% when Congress is divided. That said, a split Congress can come with its own set of challenges. Legislative gridlock can complicate negotiations surrounding issues like government funding and the debt ceiling, presenting another flavor of episodic volatility and headline risk. No matter which party wins the election, avoid falling for the misleading idea that the outcome will dramatically change the market's direction—remember, profits matter more than politics.

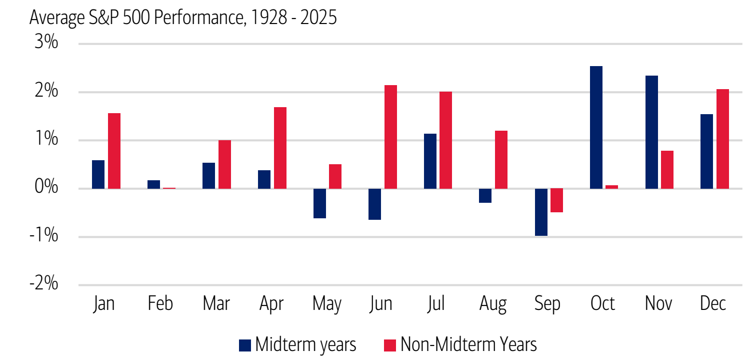
What happens in the year after the election? On this point, the data is clear: Post-midterm election periods have typically been very constructive for Equities. In all available data since 1928, the S&P 500 has risen 92% of the time in the 12 months following the midterm election. Narrowing the data to just the post-war period, the S&P 500 has delivered positive total returns 100% of the time over both 6- and 12-month horizons, averaging 14.9% and 18.3%, respectively (Exhibit 1C). The year after the midterm has also historically been the strongest in the four-year presidential cycle, with an average annual total return of 17.6% since 1928 (Exhibit 1D). When it comes to midterm election volatility, investors have historically reaped the benefits from staying the course.

Exhibit 1: Midterms by the Charts.

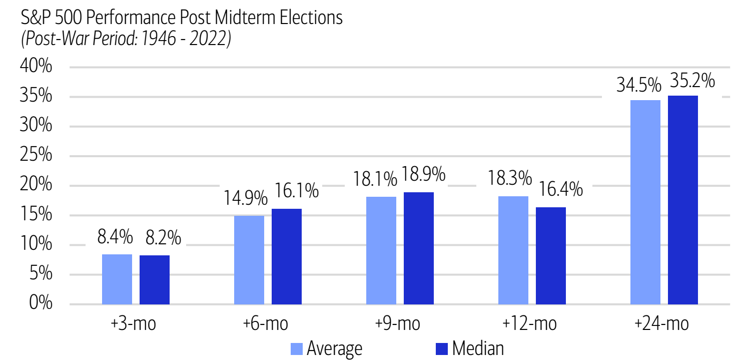
A) S&P 500 Volatility Trends by Month.



B) S&P 500 Average Total Return by Month.



C) S&P 500 Post-midterm Forward Returns.



D) S&P 500 Average Annual Performance Through the Election Cycle.

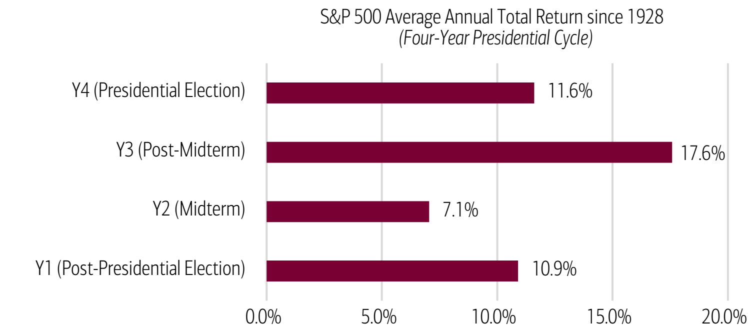


Exhibit 1A) Source: Bloomberg. Data through December 31, 2025, as of June 2, 2026. Volatility is calculated using the standard deviation of daily S&P 500 price returns each month. Median volatility for each month is displayed on an annualized basis. Exhibit 1B) Source: Bloomberg. Data through December 31, 2025, as of June 2, 2026. Total returns referenced. Exhibit 1C) Source: Bloomberg. Data through December 31, 2022, as of June 2, 2026. Total returns referenced. Exhibit 1) Source: Bloomberg. Data through December 31, 2025. As of June 2, 2026. Total returns referenced. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Bottom Line: Volatility heading into midterm elections is typical, but reacting to it rarely pays. The surrounding noise, whether from media or political rhetoric, often overstates the stakes. History suggests that long-term equity returns are driven by earnings, not election outcomes. For investors, the implication is straightforward—tune out the election, the noise, stay focused on fundamentals, and maintain a long-term perspective regardless of how the political winds shift.

Mega IPOs: Some Thoughts on Trading Dynamics, Liquidity and Retail Access

Chief Investment Office, *Investment Manager Selection Team*

A significant pipeline of three high-profile IPOs—particularly within the AI, Technology and Telecommunication ecosystem—is expected to roll out in mid-2026, generating much investor interest and plenty of media hype.

We believe there are several aspects of these IPOs to consider with respect to portfolio positioning and market impact. While aggregate market values are substantial, the structure of market access and the mechanics of post-IPO trading suggest that near-term market impact may be more limited than headline figures imply.

At the same time, evolving access to potential oppportunities or pathways—special purpose vehicles SPVs, private access vehicles, ETFs—can carry meaningful structural, valuation, and regulatory risks that warrant careful diligence.

Our view is constructive but cautious: While the market can likely absorb new issuance, short-term dynamics will likely be driven more by supply constraints and technical factors than by fundamentals. Near-term market volatility could be one outcome of this backdrop.

Investment Implications

While we believe the upcoming major IPOs could set significant milestones for company market values and provide public access to several innovation leaders, the near-term impact on Equity indexes and portfolios are likely to be contained due to the limited availability of shares and index inclusion guardrails.

Index Inclusion Has The Potential To Create Sequential, Nonfundamental Demand

More indexes have introduced "fast entry" mechanisms that allow sizeable IPOs to be included earlier in order to better present their intended exposure. Eligibility requirements and inclusion timelines vary by index methodology, with some indexes adding IPOs as early as 5 days, 10 days, or 15 days after listing. This compares to the typical 3 to 12 month seasoning period for IPOs historically.

As a result, the sizeable nature of these IPOs are set to experience greater index related demand than IPOs historically. However, most core indexes are weighted by a security's free float adjusted market capitalization, not by total market capitalization, meaning these securities will receive more modest index weights, even if the IPO is eligible for early inclusion.

While the market values for the upcoming large IPO companies are very high at around $3.5 trillion in total, the shares available to purchase and the impact on the market are not likely to be significant initially. This is due to the expected size of the initial float, which is expected to be in the range of 3% to 10%, depending on the company. This level is lower than typical modern technology IPOs at 10% to 25% but not unusual for high-demand IPOs.

Goldman Sachs Portfolio Strategy Research[6] has estimated that a company with a $1 trillion market capitalization but only 5% free float would carry an index weighting of roughly 0.1% in the S&P 500, 0.2% in the Russell Growth Index and 1.4% in the Nasdaq-100. The Nasdaq 100 Index is a notable exception, as it uses a modified market capitalization. As such, its inclusion decisions may be particularly important to monitor as constituents could be weighted higher than their free float adjusted market capitalization weight.

[6] Goldman Sachs Portfolio Strategy Research, U.S. Weekly Kick Start: "The equity market impact of proposed index inclusion rule changes". As of March 20, 2026.

Expect front-loaded price strength and volatility, followed by normalization as supply expands.

We believe there are several positives to be drawn from the small float, mostly tied to volatility. First, the impact on stock(s) sold out of the index (to make room for stocks added) will be manageable as portfolios are rebalanced. Two, the incremental concentration to the AI/Technology theme will not be material in the near term. And three, the market will be able to absorb the new shares in a fluid manner.

As with most IPOs, these stocks are likely to be highly sensitive to trading sentiments in the near term or until supply expands. There will likely be upward pricing pressure on the stocks when added to various indices. And high valuations for certain IPOs could also exacerbate price volatility. Volatility should subside following lock-up periods, and insider selling and secondary offerings increase share supply.

There are multiple strategies to access IPOs.

Along with the pipeline of high-profile IPOs, it is important to consider how to access these companies. Given the ability to invest earlier in a company's lifecycle at lower valuations and with attractive deal structures, CIO would advocate qualified investors getting IPO exposure through investing in Long-Only Growth Equity Funds or for qualified investors via Venture Capital and Private Growth Equity Funds.

Retail access is now available in many structures including listed closed end funds and for qualified investors, traditional Private Equity funds (which are potentially more attractive because they are diversified but tend to have the highest allocation % to these deals), evergreen private markets vehicles as well as interval funds and more recently, SPVs.

However, strategies that require periodic liquidity are subject to premium/discount volatility; in addition, highly concentrated, publicly traded strategies contain multiple investment risks beyond the fundamental performance of the IPOs. And recently, regulatory scrutiny has increased around "access vehicles" that seemingly offer exposure to one or a basket of anticipated IPOs, but, in some cases, the offering entity has not had a legal right to those shares.

Conclusion

We believe the upcoming major IPOs could set significant milestones for company market values and provide public access to several innovation leaders, the near-term impact on Equity Indexes and portfolios are likely to be contained due to the limited availability of shares and index inclusion guardrails.

We continue to believe that some of the best ways to access the pre-IPO market is through Private Equity and Venture Capital funds for qualified investors, including some of the new evergreen/interval structures that carry the benefit of early entry valuation and significantly less volatility. When considering an allocation to these IPOs, it is important to note that many clients have significant exposure to the Technology sector in both public and private solutions given recent markets, so any allocation to individual companies should be sized appropriately.

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THOUGHT OF THE WEEK

What Do Shifting Rate Expectations Mean for the U.S. Debt Maturity Wall?

Ariana Chiu. Assistant Vice President and Investment Strategist

Since the start of the U.S./Iran conflict on February 28, the market has gone from pricing in 2 to 3 rate cuts this year to seriously entertaining the possibility of a rate hike. Where rates are headed matters not only for rate-sensitive areas of the economy like housing and construction but also for the wall of U.S. government debt set to mature this year and beyond. Owing to massive pandemic-era borrowing at near-zero interest rates, $9 trillion in government debt must be refinanced by year-end, now at rates closer to 3.5% to 4% (Exhibit 2A and B).

Investment Implications

The path of inflation and interest rates warrants close monitoring this summer given the Iran conflict, AI supply chain strains, and resilient economic growth. Our base case continues to be that the Fed remains on hold this year.

Exhibit 2: On the Watchlist: Maturing Debt and Higher Rates.

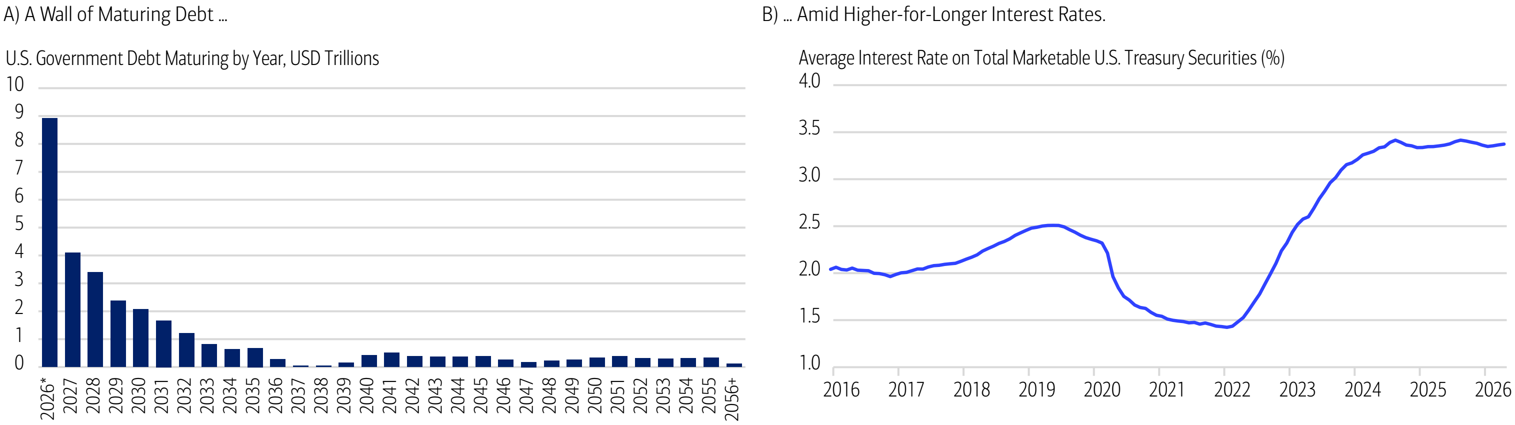


Exhibit 2A) *Refers to June through end of year. 2056+ indicates 2056 or later. Source: Bloomberg. Data as of June 2, 2026. Exhibit 2B) Source: Bloomberg. Data as of April 30, 2026.

Refinancing ample outstanding debt at higher rates means higher interest costs, hardly a source of comfort when Uncle Sam already spends more on interest payments than national defense. Meanwhile, the U.S. Treasury's preference for shorter-term issuance suggests refinancing needs are likely biased higher in years to come; as it stands, 22% of outstanding debt is in Treasury bills (maturity of one year or less).

The path of inflation remains key to watch as we enter the summer months. The good news is that long-run inflation expectations are still well anchored, moderating in recent weeks to pre-war levels. In the meantime, the bond market may have already done some of the heavy lifting for the Fed; Bloomberg Economics estimated at the end of May that the roughly 50 basis-point (bps) move in the 10-year Treasury yield since the start of the war had resulted in tighter financial conditions equivalent to roughly 75 bps of rate hikes.[7]

The most important question is whether investors will continue to demand U.S. debt. The answer is still a resounding yes, in our view. Indeed, for all the geopolitical volatility and uncertainty of the last year, demand for U.S. assets has far from waned thanks to the depth of its financial markets, the dollar's reserve currency status, and strong economic fundamentals. Foreign holdings of U.S. Treasurys, just one of many drivers of demand, reached a record $9.5 trillion during Q1 according to the U.S. Treasury.

Looking ahead, a major change in Fed policy (e.g., unanticipated swift rate hikes) would be cause for concern, not only for growth but also for the effective interest burden on outstanding debt which has remained relatively flat thanks to older, lower-rate debt. That's not our base case, and we remain watchful of inflation and labor inputs in the months to come. Potentially shifting rate expectations only further reinforces the importance of diversification across and within asset classes in portfolios.

[7] "Bond Market Hanads Warsh 75-bps Fed Rate Hike Already," Bloomberg, May 28, 2026.

MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	50,866.78	-0.2	-0.2	6.6
NASDAQ	25,709.43	-4.7	-4.7	10.9
S&P 500	7,383.74	-2.5	-2.5	8.4
S&P 400 Mid Cap	3,693.56	-0.8	-0.8	12.3
Russell 2000	2,833.50	-2.9	-2.9	14.7
MSCI World	4,755.77	-2.2	-2.2	8.0
MSCI EAFE	3,073.71	-1.4	-1.4	7.9
MSCI Emerging Markets	1,717.34	-1.9	-1.9	23.2

Fixed Income†

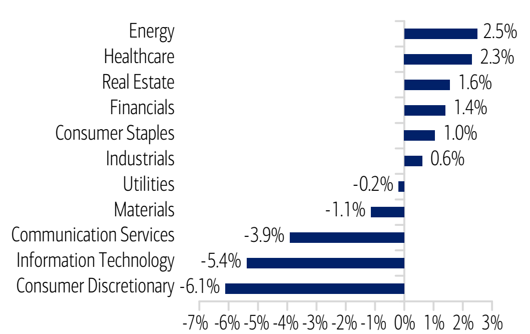
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.71	-0.50	-0.50	-0.26
Agencies	4.48	-0.38	-0.38	0.09
Municipals	3.62	0.39	0.39	1.74
U.S. Investment-Grade Credit	4.80	-0.54	-0.54	-0.17
International	5.26	-0.59	-0.59	0.08
High Yield	7.19	-0.42	-0.42	1.26
90 Day Yield	3.71	3.67	3.67	3.63
2 Year Yield	4.15	4.00	4.00	3.47
10 Year Yield	4.53	4.44	4.44	4.17
30 Year Yield	5.00	4.97	4.97	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	339.28	-1.8	-1.8	22.8
WTI Crude $/Barrel††	90.54	3.6	3.6	57.7
Gold Spot $/Ounce††	4328.45	-4.7	-4.7	0.2

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.15	1.17	1.17	1.17
USD/JPY	160.29	159.27	159.27	156.71
USD/CNH	6.79	6.76	6.76	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 06/01/2026 to 06/05/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 06/05/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 6/5/2026)

	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.1	3.4
Real U.S. GDP (% q/q annualized)	1.6	2.5	1.9	1.9	2.1	2.2
CPI inflation (% y/y)	2.7	4.0	3.7	3.5	3.5	2.3
Core CPI inflation (% y/y**)	2.5	2.8	2.7	2.8	2.7	2.6
Unemployment rate (%)	4.3	4.3	4.3	4.3	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.63	3.63	3.63	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of June 5, 2026.
Sources: BofA Global Research; GWIM ISC as of June 5, 2026.

Asset Class Weightings (as of 6/2/2026)

	CIO View				
Asset Class	Underweight		Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Growth				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies Private Equity Private Credit Real Assets			●		
Cash					

CIO Equity Sector Views

	CIO View				
Sector	Underweight		Neutral	Overweight	
Industrials				●	
Consumer Discretionary				●	
Financials				●	
Information Technology			●		
Energy			●		
Materials			●		
Utilities			●		
Healthcare			●		
Communication Services		●			
Real Estate		●			
Consumer Staples		●			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of June 2, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Index Total Return is a performance benchmark that measures the index's price changes and assumes all cash dividends are reinvested.

Russell 2000 Index tracks the performance of the 2000 largest U.S. companies, serving as a key benchmark for mega-cap and ultra-large-cap equities.

Chicago Board Options Exchange Volatility Index is a real-time market index that measures the expected 30-day forward-looking volatility of the U.S. stock market.

Russell Growth Index measures the performance of US large cap growth stocks.

Nasdaq 100 Index includes 100 of the largest domestic and international non-financial companies listed on The Nasdaq Stock Market based on market capitalization.

S&P 500 sub-sectors and industry groups Global Industry Classification Standard (GICS®)/S&P 500 Total Return Index, including Information Technology Total Return (TR) USD; Consumer Discretionary TR USD; Industrials TR USD; Real Estate TR USD; Communication Services TR USD; Materials TR USD; Financials TR USD; Consumer Staples TR USD; Utilities TR USD; Energy TR USD; Healthcare TR USD.

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Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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